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Korea Economic Outlook

2025. 5



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All statistics and projections in this publication are identical to those in the Korean edition. It should be noted that some data may have been revised after the publication of the Korean edition.

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Key Assumptions of the Outlook

☐ **U.S. Tariff Policies:** Considering recent outcomes of tariff negotiations between the United States and major countries, such as the United Kingdom and China, we assumed that the current structure of **baseline 10%** and **item-specific 25% tariffs** will **generally be maintained**[*].

* We also assumed that item-specific tariffs would be partially imposed, at around 10% rate, in the second half of the year on products such as semiconductors and pharmaceuticals.

- This reflects a **more intensified** tariff policy stance compared to the assumptions made in the **February outlook**, with a broader range of target countries and higher tariff rates. However, it also represents a **moderation** from the situation in **early April**, when reciprocal tariff measures were announced on April 2 (at 25% on Korea) and when U.S.-China retaliatory actions escalated on April 10.

	Main Points of the Baseline Scenario
‣ **February Outlook**	• The United States imposes a certain level of tariffs at 5%-10% during this year, including item-specific tariffs, on major countries with which the U.S. has large trade deficits, followed by a gradual reduction throughout 2026.
‣ **May Outlook**	• The current baseline 10% tariffs and item-specific 25% tariffs are assumed to remain largely in place. • Additional item-specific tariffs at 10% will be imposed in the second half of the year on products such as semiconductors and pharmaceuticals.

- Given the significant shifts in tariff policies following the launch of the new U.S. administration, and the fact that negotiations are still underway between the U.S. and major countries, with reciprocal tariffs suspended until July 9 (August 12 for China), the future developments in the U.S. tariff policies remains highly **uncertain**.

☐ **Domestic Economic Sentiment and Stimulus Measures:** **Economic sentiment** is assumed to improve as domestic uncertainty eases, despite elevated external uncertainties. As for government **economic stimulus measures**, the outlook reflects the demand-boosting effects of the supplementary budget of KRW 13.8 trillion approved in early May.

→ The growth outlook trajectory is expected to vary significantly in both directions, upside and downside, depending on the outcomes of U.S. tariff negotiations.
It is also likely to be substantially influenced by whether, and to what extent, the government's economic stimulus measures are implemented.

Executive Summary

- **Economic growth is expected to slow to 0.8% this year, falling significantly below the February forecast of 1.5%, as the recovery of economic sentiment has been delayed beyond expectations due to domestic and global uncertainties, and due to U.S. tariff policies, that have been strengthened compared to the beginning of the year.**
- **CPI inflation is expected to be 1.9% in 2025, consistent with the February forecast, as upward pressures from rising food and certain service prices are offset by downward pressures such as low domestic demand and falling oil prices.**

(%)	2024	2025e)1)	2026e)1)
GDP growth rate	2.0	0.8 (-0.7)	1.6 (-0.2)
Headline inflation (%)	2.3	1.9 (-)	1.8 (-0.1)
(Core inflation)	2.2	1.9 (+0.1)	1.8 (-0.1)

Note: 1) ( ) indicates change from the February 2025 projection.

ECONOMIC CONDITIONS

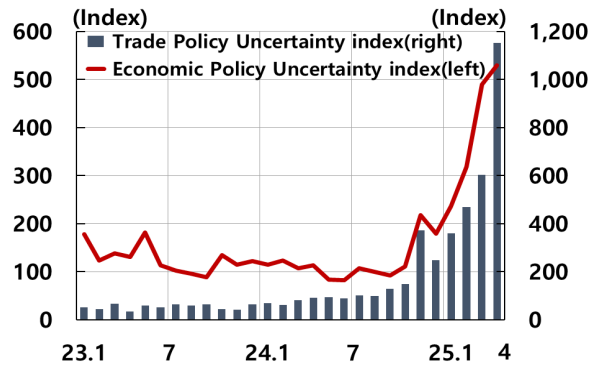
☐ **Global economic growth is expected to fall short of previous forecast due to higher U.S. tariffs compared to the beginning of the year and uncertainties surrounding the negotiations, despite the recent easing of U.S.-China trade tensions.**

- The **United States** is expected to experience rising inflation and weakening domestic demand momentum as the impact of tariff hikes gradually takes hold. The **euro area** is projected to see modest growth, despite continued monetary policy easing, due to the impact of U.S. tariff policies. **China** is expected to largely offset trade shocks through active economic stimulus measures.
- **Global trade** is expected to see a slowdown in growth toward the second half of the year as the impact of U.S. tariff policies materializes. **The global semiconductor market** is projected to maintain an upward trend, driven by high-performance products due to sustained AI investment, but the potential imposition of U.S. tariffs on semiconductor represents a downside risk factor.
- **Global oil prices (Brent crude)** are expected to fluctuate in the mid-to-high USD 60 range, well below previous forecasts, due to weak global demand and production increase by OPEC+.

☐ **Domestic conditions are expected to improve at a slower pace due to the negative spillover effects of elevated trade-related uncertainty, despite the recent easing of political uncertainty and the formulation of a supplementary budget.**

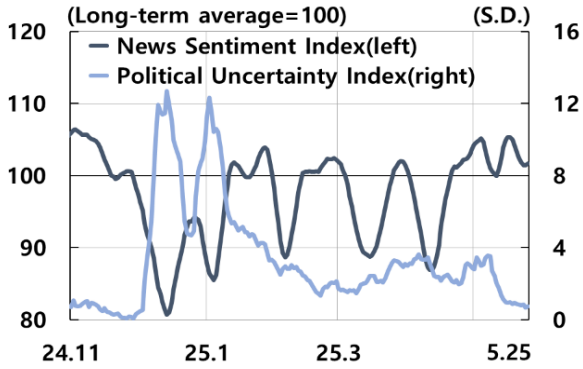
- **Nominal wage growth** is expected to remain robust during the first half of the year but is projected to slow toward the second half as corporate earnings deteriorate due to the impact of U.S. tariffs.
- **Corporate bond interest rates** have declined due to a range of factors, including concerns over a domestic economic slowdown and expectations of interest rate cuts in response. The **Won to U.S. dollar exchange rate** has declined due to factors such as concerns over a U.S. economic slowdown and expectations of easing trade tensions. **Housing prices** in non-metropolitan areas have remained sluggish, while those in the Seoul metropolitan area are showing a modest upward trend, particularly in preferred locations.

Figure 1. Uncertainty in U.S. economic and trade policies[1)]



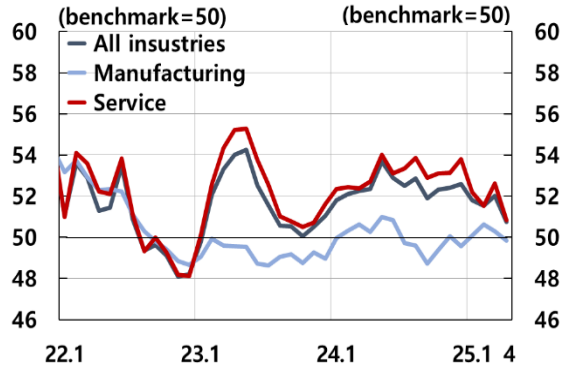
Sources: Baker et al. (2016), Caldara et al. (2020).

Figure 2. Korea's political uncertainty index[1)] and news sentiment index[2)]



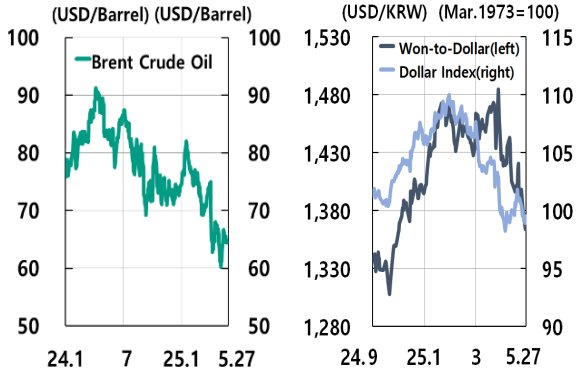
Notes: 1) Based on Baker et al. (2016), calculated using the number of articles including the words "uncertainty" and "politics"
2) Both indices are 7-day moving averages
Sources: Bank of Korea, Research Department.

Figure 3. Global PMI



Source: S&P Global.

Figure 4. Global oil prices and Won-to-Dollar exchange rates



Sources: Bank of Korea, Bloomberg.

Global growth and trade outlook[1)]

(%)	2024	2025[e)]			2026[e)]		
	Year	H1	H2	Year	H1	H2	Year
Global economy[2)]	3.3	3.0	2.4	2.7 [2.9]	2.6	2.8	2.7 [2.8]
• United States	2.8	2.0	1.3	1.6 [2.1]	1.7	2.1	1.9 [2.1]
• Euro area	0.9	1.1	0.8	0.9 [1.0]	1.0	1.3	1.2 [1.1]
• China	5.0	4.8	3.7	4.2 [4.2]	4.0	4.1	4.0 [4.0]
Global trade[2)]	3.8	3.2	1.6	2.4 [2.9]	1.9	3.2	2.5 [2.8]
Global oil prices[3)]	80	71	67	69 [75]	65	65	65 [71]

Notes: 1) [ ] indicates forecasts as of February 2025. 2) Year-over-year.
3) Brent crude oil price (USD/barrel), based on period average.
Sources: statistical offices in each area, Bloomberg, Research Department.

Economic Outlook

☐ **GDP growth for this year is expected to be 0.8%, significantly below the February forecast of 1.5%, as the weakness in domestic demand has been prolonged due to a delayed recovery in economic sentiment and due to a construction sector downturn, coupled with increased downward pressure on exports from a deteriorating trade environment.**

- Growth in the **first quarter** was negative, at -0.2%*, reflecting intensified weakness in domestic demand. While growth in the **second quarter** is expected to rebound as political uncertainty eases, it is still projected to only reach 0.5%, falling short of the previous forecast of 0.8% due to sluggishness in the construction sector and due to a slow recovery in consumption.

  * This is attributed to a contraction in economic sentiment due to domestic and international uncertainties, further compounded by an unusual combination of temporary factors, such as construction site accidents, adverse weather conditions, and large-scale wildfires.

- **From the second half of the year onward**, domestic demand is expected to improve as the effects of interest rate cuts and of the supplementary budget take hold, accompanied by a recovery in economic sentiment. While some easing in trade tensions has been observed, owing to the suspension of reciprocal tariffs and to U.S.-China negotiations, exports are projected to fall short of the previous forecast, reflecting the tariff rates that are still high and the uncertainty in the negotiation process.

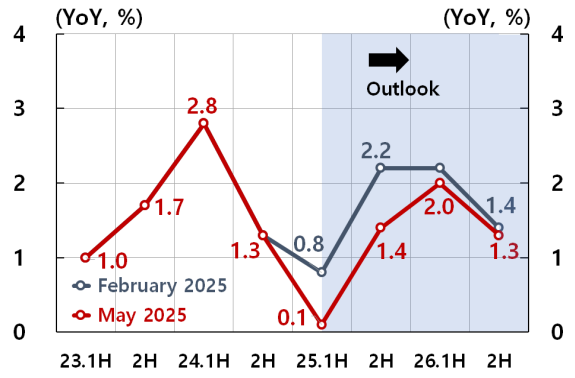
- **In 2026,** economic growth is expected to improve driven by domestic demand, but is projected to reach 1.6%, below the previous forecast of 1.8%, due to the ongoing impact of a deteriorating trade environment.

Korea's growth outlook by sector[1)]

(%)	2024	2025[e)]	2026[e)]
GDP	2.0	0.8	1.6
		[1.5]	[1.8]
• Private consumption	1.1	1.1	1.6
		[1.4]	[1.8]
• Goods exports	6.3	-0.1	0.7
		[0.9]	[0.8]
• Facilities investment	1.6	1.8	1.0
		[2.6]	[2.0]
• Construction investment	-3.0	-6.1	2.8
		[-2.8]	[2.5]

Note: 1) [ ] indicates forecasts as of February 2025.
Source: Research Department.

Outlook for GDP growth[1)]



Note: 1) Shaded area indicates projections.
Source: Research Department.

☐ **CPI inflation for this year is expected to remain unchanged from the previous forecast of 1.9%*, as upward pressures from price increases for processed foods and certain services, such as dining out and university tuition, are offset by downward pressures that include low demand and declining global oil prices.**

* Core inflation is projected to be 1.9% this year, revised upward by 0.1%p from the previous forecast of 1.8%.

- CPI inflation is expected to hover around 2%* during the first half of the year, but is projected to decline to the high 1% range from the second half as the impact of falling global oil prices intensifies.

  * In April, CPI inflation remained at the previous month's level of 2.1% as a decline in petroleum prices was offset by an increase in core inflation, from 1.9% to 2.1%, driven by rising service prices, including those for dining out and insurance service fees.

☐ **The current account surplus is expected to reach USD 82 billion in 2025, exceeding the February forecast of USD 75 billion.**

- The **goods account surplus** is expected to widen compared to the previous forecast, as exports on a customs basis are expected to decline due to the impact of U.S. tariffs, but imports are projected to fall by a greater margin due to lower oil prices and weak domestic demand. Meanwhile, the **primary income account surplus** is expected to increase, mainly driven by dividend income, given the continued rise in overseas securities investment by Korean residents. However, the possibility of increased imports from the U.S. as part of ongoing negotiations presents a downside risk to the current account balance.

☐ **The increase in the number of employed persons is expected to reach 120,000, slightly exceeding the February forecast of 100,000.**

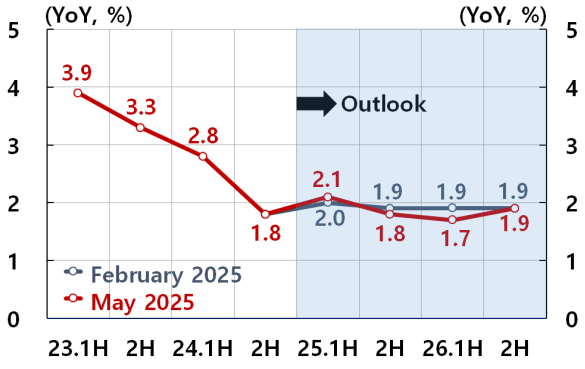
- Employment in the construction and manufacturing sectors is expected to continue to decline due to factors such as sluggish construction investment and the impact of U.S. tariff policies. However, jobs in public administration and in healthcare & welfare are projected to considerably exceed previous forecasts, supported by the government's job creation measures.
- The overall employment situation is considered weak, as private sector jobs (jobs excluding public administration and healthcare & welfare) are declining, while low-wage, short-time jobs in the public sector are driving employment growth.

Outlook for inflation, current account, and employment[1)]

	2024	2025[e)]	2026[e)]
Headline inflation (%)	2.3	1.9 [1.9]	1.8 [1.9]
• Core inflation (%)	2.2	1.9 [1.8]	1.8 [1.9]
Current account (USD 100 million)	990	820 [750]	720 [700]
Increase in number of employed persons (10,000 persons)	16	12 [10]	10 [11]

Note: 1) [ ] indicates forecasts as of February 2025.
Sources: Research Department, Bank of Korea, Statistics Korea.

Outlook for headline CPI



Sources: Statistics Korea, Research Department.

Risks to the Outlook

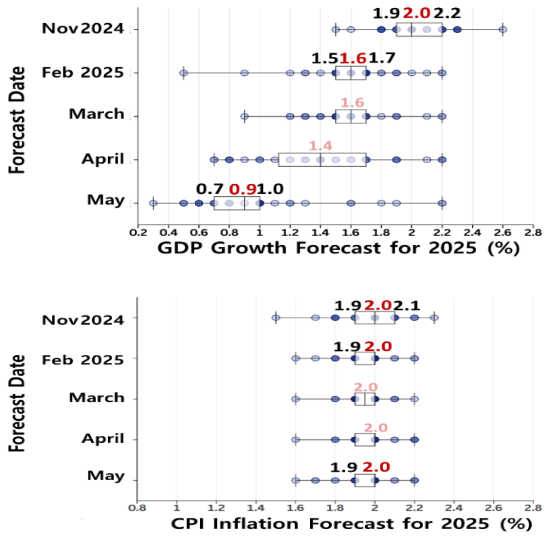
☐ **On the future growth path, there remains significant uncertainty related to the future developments of trade negotiations, the pace of recovery in economic sentiment, and developments in the global financial market. Inflation is expected to be heavily influenced by oil price and exchange rate movements, both of which have recently exhibited high volatility.**

	Upside risks	Downside risks
Growth	• Further easing of global trade tensions • A swift improvement in sentiment driven by easing of domestic political uncertainty • Government's economic stimulus measures	• Resurgence of trade tensions among major economies and prolonged uncertainty • Instability in global financial market • Continued structural and cyclical slowdown in the construction sector
Inflation	• Corporate moves to raise prices • Higher agricultural prices driven by abnormal weather conditions	• Weakening demand-side inflationary pressure • Government's price stability measures

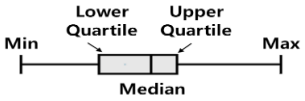
☐ **Growth projections by major forecasting institutions for 2025 have been significantly revised downward compared to the February forecast, while the inflation forecasts remain unchanged.**

▪ Among market participants such as investment banks, the median and lower quartile of domestic GDP growth for 2025 are 0.9% and 0.7%, respectively, revised down by 0.7%p and 0.8%p from the February forecasts of 1.6% and 1.5%. The median forecast for CPI inflation remains unchanged from the February forecasts at 2.0%.

Distribution of GDP growth[1] and CPI inflation[2] forecasts for 2025

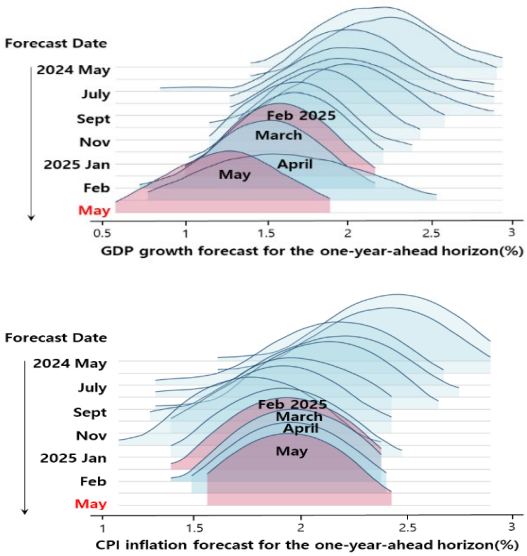


Note: 1) Based on 36~42 institutions.
2) Based on 30~36 institutions.



Source: Bloomberg (Data retrieved on May 26)

Distribution of GDP growth[1] and CPI inflation[2] forecasts for the one-year-ahead horizon[3]



Note: 1) Based on 18~23 institutions.
2) Based on 16~20 institutions.
3) The average year-over-year growth rate forecasts over the current and subsequent three quarters.
Source: Bloomberg (Data retrieved on May 26)

□ **Although global trade tensions have eased to some extent due to recent U.S.-China trade negotiations, future developments in U.S. tariff policies and uncertainties surrounding the negotiation remain the most significant risk factors for the growth path, and so we have analyzed two alternative scenarios.**

- **Optimistic scenario (smooth tariff negotiations):** If trade negotiations with all countries, including China, proceed smoothly during the tariff suspension period until July 9(August 12 for China), leading to a significant reduction in U.S. tariff rates by the end of this year, GDP growth is expected* to be **0.1%p higher this year** and **0.2%p higher next year** compared to the baseline projection. **CPI inflation** is projected to receive a **limited** impact **this year**, but is estimated to be **0.1%p higher** than the baseline projection **next year**.

  * As tariff paths under optimistic and pessimistic scenarios are projected to diverge from the baseline scenario starting in the third quarter, their impact is expected to be more pronounced next year compared to this year.

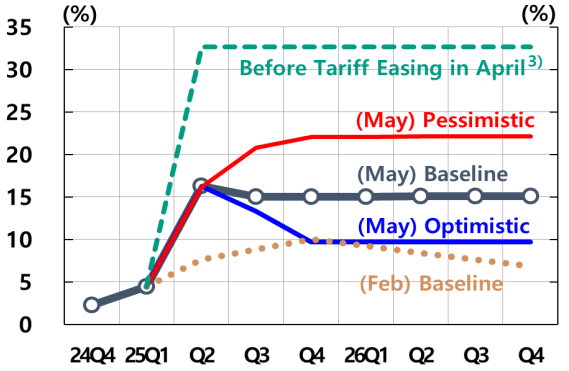
- **Pessimistic scenario (intensifying trade conflicts):** If U.S.-China tensions reignite and negotiations with other countries break down, leading to the reinstatement of a substantial portion (about half) of the currently suspended reciprocal tariffs, **GDP growth** is expected to be **0.1%p lower this year** and **0.4%p lower next year** compared to the baseline projection. **CPI inflation** is projected to receive **limited** impact **this year** but is estimated to be **0.2%p lower** than the baseline projection next year.

U.S. Tariff Policy Scenarios

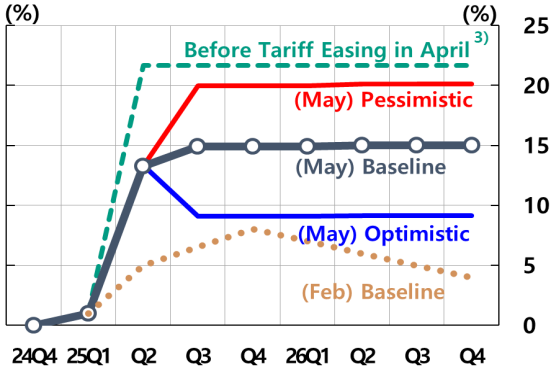
	Main Points
Baseline Scenario	‣ Current tariff structure, comprising baseline 10% tariffs and 25% item-specific tariffs, remains in place, while additional 10% tariffs are imposed in the second half of the year on certain items such as semiconductors and pharmaceuticals. ‣ Tariff rate on **Korea** reaches to around 15%.
Optimistic Scenario	‣ With steady progress on negotiations, U.S. tariff rates decline significantly compared to the baseline scenario by the end of the year. Item-specific tariffs already in place drop to 10%, and additional item tariffs are likewise set at 10%. ‣ Tariff rate on **Korea** declines to around 10% in the third quarter and remains at that level thereafter.
Pessimistic Scenario	‣ After the tariff suspension period ends (from July onward), about half of the paused reciprocal tariffs are reinstated, leading to a further increase in U.S. tariff rates in the second half of the year. Other countries also impose high-intensity retaliatory tariffs. Item-specific tariffs already in place remain at 25%, and additional item tariffs are likewise set at 25%. ‣ Tariff rate on **Korea** rises to around 20% in the third quarter and remain at that level thereafter.

Average Tariff Rate[1)2)] Paths by Scenario

U.S. Tariff Rates



Tariff Rates on Korea



Note: 1) Incorporated tariff-exempt items such as energy and rare minerals.
2) Estimated based on the scale of U.S. imports in 2024.
3) Tariff rates assuming a continuation of reciprocal tariffs and the U.S.-China retaliatory tariffs announced in early April.

GDP growth and inflation outlook by Scenario

GDP Growth rate

(%, %p)	2024	2025e)	2026e)
Baseline Projection	2.0	0.8	1.6
Optimistic scenario		+0.1	+0.2
Pessimistic scenario		-0.1	-0.4

Headline Inflation

(%, %p)	2024	2025e)	2026e)
Baseline Projection	2.3	1.9	1.8
Optimistic scenario		-	+0.1
Pessimistic scenario		-	-0.2

Source: Research Department.

Economic Outlook Summary (May 2025)

	2024	2025[e]			2026[e]		
	Year	H1	H2	Year[5]	H1	H2	Year[5]
Main Premises of the Baseline Outlook							
Global economic growth (%)[1]	**3.3**	3.0	2.4	**2.7 [-0.2]**	2.6	2.8	**2.7 [-0.1]**
• United States	**2.8**	2.0	1.3	**1.6 [-0.5]**	1.7	2.1	**1.9 [-0.2]**
• Euro area	**0.9**	1.1	0.8	**0.9 [-0.1]**	1.0	1.3	**1.2 [+0.1]**
• China	**5.0**	4.8	3.7	**4.2 [-]**	4.0	4.1	**4.0 [-]**
• Japan	**0.2**	1.3	0.5	**0.9 [-0.2]**	0.1	0.6	**0.4 [-0.3]**
Global trade growth (%)[1]	**3.8**	3.2	1.6	**2.4 [-0.5]**	1.9	3.2	**2.5 [-0.3]**
Brent oil price (USD/barrel)[2]	**80**	71	67	**69 [-6]**	65	65	**65 [-6]**
Domestic economic outlook							
GDP growth (%)[1]	**2.0**	0.1	1.4	**0.8 [-0.7]**	2.0	1.3	**1.6 [-0.2]**
• Private consumption	**1.1**	0.8	1.4	**1.1 [-0.3]**	1.8	1.3	**1.6 [-0.2]**
• Construction investment	**-3.0**	-11.3	-1.1	**-6.1 [-3.3]**	4.9	0.9	**2.8 [+0.3]**
• Facilities investment	**1.6**	4.9	-1.0	**1.8 [-0.8]**	1.0	0.9	**1.0 [-1.0]**
• IPP investment	**0.7**	1.4	4.8	**3.2 [-0.5]**	3.7	1.4	**2.5 [-0.6]**
• Goods exports	**6.3**	-0.1	0.0	**-0.1 [-1.0]**	0.6	0.8	**0.7 [-0.1]**
• Goods imports	**1.2**	0.8	-0.3	**0.2 [-0.9]**	1.8	1.3	**1.5 [-0.4]**
Headline CPI inflation (%)[1]	**2.3**	2.1	1.8	**1.9 [-]**	1.7	1.9	**1.8 [-0.1]**
• Core inflation[3]	**2.2**	1.9	1.8	**1.9 [+0.1]**	1.8	1.8	**1.8 [-0.1]**
Current account (USD 100 million)	**990**	378	441	**820 [+70]**	316	405	**720 [+20]**
• Goods	**1,001**	411	434	**846 [+45]**	376	415	**791 [+10]**
• Services	**-237**	-124	-133	**-256 [-10]**	-139	-137	**-276 [-10]**
• Primary and secondary income	**226**	91	139	**230 [+34]**	78	127	**205 [+20]**
Change in number of employed persons (10,000 persons)[1]	**16**	15	9	**12 [+2]**	10	11	**10 [-1]**
Unemployment rate (%)	**2.8**	3.1	2.7	**2.9 [-]**	3.2	2.7	**3.0 [+0.1]**
Employment rate (%)[4]	**62.7**	62.6	62.9	**62.7 [-]**	62.5	62.9	**62.7 [-]**

Notes: 1) Year-on-year. 2) Based on near-month period average. 3) Excluding food and energy. 4) Aged 15 and over.
5) Figures in [ ] show the changes from projections as of February 2025.
Sources: Bank of Korea, statistical offices of each area, Bloomberg.

I. Macroeconomic Conditions and Outlook

1. Domestic and International Economic Conditions

Global Economy

1.1. The world economy is expected to fall short of the previous projections due to U.S. tariffs that exceed the level at the beginning of the year and uncertainties in the future negotiation process, despite the recent easing of U.S.-China trade tensions. Overall, the global economy maintained favorable growth momentum during the first quarter. By country, growth trajectory diverged based on their responses before the implementation of U.S. tariffs. The United States experienced negative growth as imports surged significantly for inventory-building ahead of the implementation of the tariff policy. Meanwhile, the Euro area and China demonstrated growth above market expectations, buoyed by the effect of front-loading shipments.

In early April, as the U.S. imposed high reciprocal tariffs globally and engaged in tit-for-tat responses with China through ultra-high retaliatory tariffs[1], global financial conditions, household and business sentiment deteriorated sharply, while uncertainties in the trade environment reached unprecedented levels. However, since May, the extreme market turbulence has somewhat subsided[2] as the U.S. reached a trade agreement with the UK, followed by a breakthrough agreement with China on withdrawing retaliatory tariffs and partially deferring reciprocal tariffs[3]. Nevertheless, the current tariff measures alone remain at historic levels,[4] and uncertainties in the global trade environment, including the outcomes of future tariff negotiations, remain high. This is expected to significantly constrain corporate activities related to investment, employment, and supply chains. Growth shocks are anticipated to be particularly substantial for China, which faces higher tariffs than other countries, ASEAN economies with high export dependence on both the U.S. and China, and countries heavily exposed to item-specific tariffs. However, global oil prices remaining at lower levels compared to previous years is projected to serve as a upside factor for global demand.

[1] In April, as the intensity of retaliatory tariffs between the U.S. and China escalated, additional tariff rates imposed since the inauguration of the new U.S. administration surged to 145% for U.S. tariffs on China and 125% for Chinese tariffs on the U.S. This effectively signifies the severance of bilateral trade between the two nations. Meanwhile, the U.S. has granted a 90-day suspension until early July on reciprocal tariffs exceeding the baseline 10% for countries other than China.

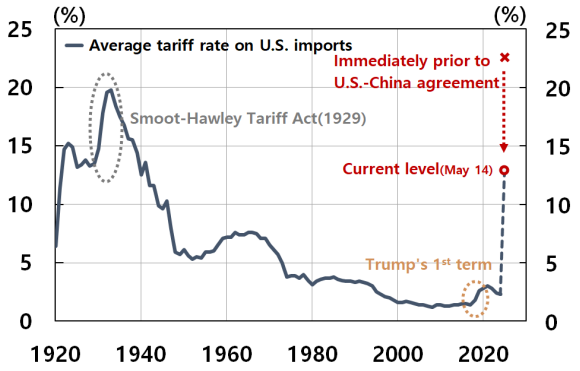
[2] Immediately following the U.S.-China tariff suspension agreement (May 12-16), risk-averse sentiment subsided due to lower-than-expected tariff rates on China, resulting in U.S. equity markets posting five consecutive sessions of gains (+5.3%) and surpassing pre-reciprocal tariff announcement levels.

[3] Following the U.S.-China negotiations on May 12, the current applicable tariff structure stands as follows: U.S. tariffs on China at 30% (comprising 20% fentanyl-related tariffs plus 10% baseline reciprocal tariffs, with 24% of the 34% reciprocal tariffs subject to a 90-day suspension), and Chinese tariffs on the U.S. at 10%.

[4] As of May 14, the U.S. average tariff rate stands at 13.3% (research department estimate), significantly exceeding the 2.3% level prior to the new administration, with a substantial likelihood of additional item-specific tariffs on semiconductors, pharmaceuticals, and other categories going forward.

Intensity of U.S. tariff policy reaches historic high

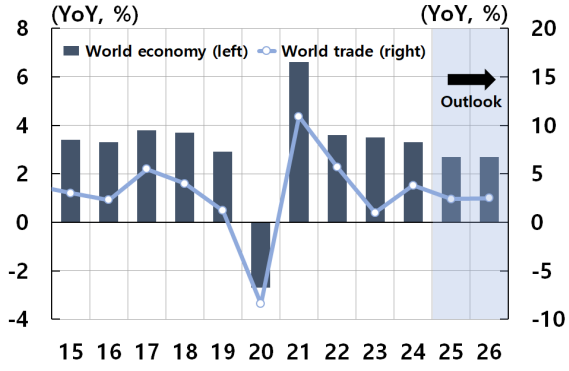
Figure 1.1. U.S. average tariff rates



Sources: Estimated by the Research Department and U.S. ITC.

Global economy and trade growth expected to decelerate

Figure 1.2. Global economic and world trade outlook

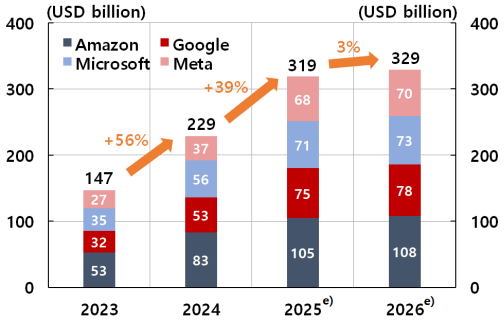


Sources: IMF, Research Department.

1.2. The global semiconductor cycle is expected to maintain its favorable trend in 2025, centered on high-performance products such as HBM. High-performance semiconductors for AI servers such as HBM experienced a slight moderation early in the year but resumed an upward trend from March onward. Given the robust demand for AI infrastructure investments from big tech companies[5], high-performance products are expected to continue their favorable trajectory in 2025. For low-performance products used in IT devices, prices have recently rebounded due to pull-in demand ahead of U.S. tariff implementation and inventory depletion following production cuts, however, going forward, improvement is expected to be modest as recovery in the IT device demand remains stagnant. The possibility of U.S. tariffs on semiconductors and IT devices remains as a downside risk factor.

Investment by U.S. big tech companies expected to continue rising in 2025

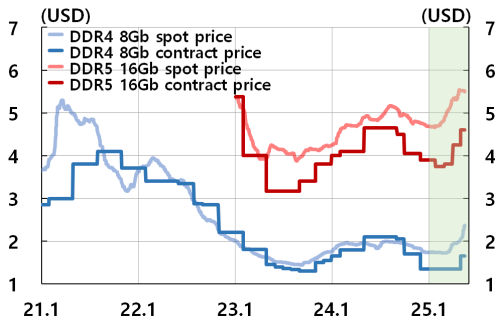
Figure 1.3. U.S. big tech companies' capital expenditure (CAPEX)[1)]



Note:1) Estimated on a calendar year basis.
Sources: Bloomberg, Research Department.

DRAM prices increase due to front-loading and production cut

Figure 1.4. DRAM prices



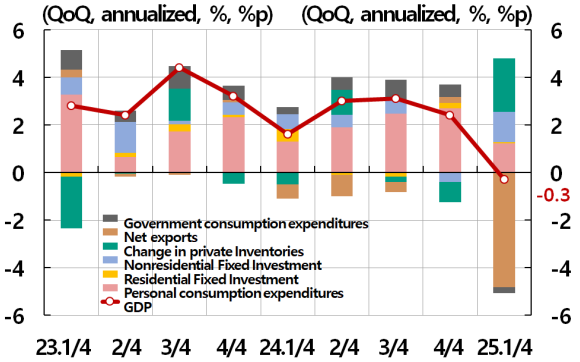
Source: DRAMeXchange.

[5] U.S. big tech companies posted solid earnings performance during the first quarter in 2025, while announcing that capital expenditure (CAPEX) allocations for AI infrastructure and related investment for the current year remain at originally-planned levels or show modest increases(Amazon, Google, and Microsoft maintaining previous projections, and Meta expanding by approximately 10%).

1.3. Across major economies, the U.S. is expected to experience slower growth amid continued policy uncertainty, as the impact of higher tariffs gradually materialize. In the first quarter of 2025, the U.S. economy contracted by 0.3% (QoQ SAAR), driven by significantly increased imports—1.8% for exports and 41.3% for imports prior to the implementation of the U.S. tariff policy. Consumption growth moderated due to the base effect from the surge in durable goods spending at the end of last year and a worsening of consumer sentiment, while investment significantly rose as facilities investment and inventory investment through imports increased ahead of higher tariffs.[6] As the impact of higher tariffs gradually becomes apparent, inflation in the U.S. is projected to edge up,[7] and momentum in domestic demand is likely to weaken. Consequently, its GDP growth rates for both 2025 and 2026 are expected to fall short of previous forecast.[8] Over the future growth trajectory, deepening trade disputes and additional adjustments to stock prices are downside risks, while rapid progress in trade negotiations and additional business-friendly policies are likely to pose upside risks. The Federal Reserve's more cautious stance on rate cuts, considering the impact of the tariff policy, is also likely to affect the trajectory.

U.S. experiences negative growth in Q1, due to increased import demand prior to tariff implementation

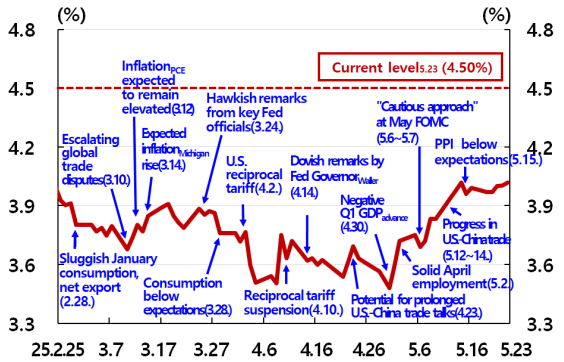
Figure 1.5. U.S. GDP growth rate and contributions



Source: BEA.

Expectations for U.S. policy rate cuts weaken

Figure 1.6. Changes in expected policy rates for December 2025[1)]



Note: 1) FFR futures-implied policy rate (upper bound).
Source: CME FedWatch.

[6] Meanwhile, the PMI, which represents corporate business conditions, decreased particularly in the services sector, driven by concerns over stagflation resulting from the tariff policy.
► Composite PMI (S&P basis): 54.8 in Q4 2024 → 52.6 in Q1 2025→ 51.4 on average in April and May 2025 (preliminary estimate)
► Service PMI (S&P basis): 56.0 → 52.8 in Q1 2025 → 51.6 on average in April and May 2025 (preliminary estimate)

[7] For more details, see the following FYI: "Impact of Tariff Policy on U.S. Consumer Prices"

[8] Employment conditions in April such as the unemployment rate and the number of employed still remains solid, but according to the S&P PMI survey, businesses started to downsize their hiring scale in response to the increasing production burden driven by higher tariffs, while also raising product prices as well.

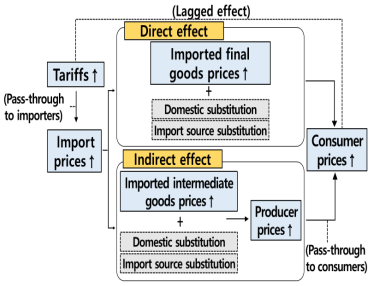
FYI Impact of Tariff Policy on U.S. Consumer Prices

Although the intensity of U.S. tariff measures has significantly eased due to the suspension of both reciprocal tariffs with major economies and additional tariffs on Chinese goods, they are still expected to exert upward pressure on U.S. inflation through significant supply-side shocks. Tariffs raise consumer prices directly by increasing the cost of imported final goods (direct effects), and indirectly by pushing up production costs for businesses through increased prices of imported intermediate goods (indirect effects). In response, firms tend to shift sourcing away from tariff-targeted countries (import source substitution) or expand domestic production and the use of domestic inputs (domestic substitution).

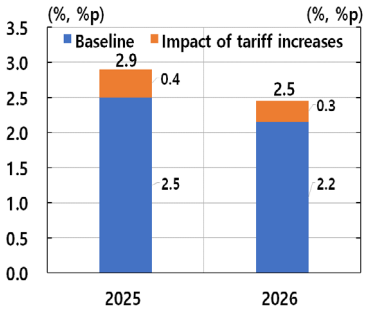
An analysis incorporating both direct and indirect transmission channels suggests that the current tariff measures are likely to raise the U.S. consumer price inflation by 0.8 percentage points in total (0.6 percentage points from direct effects and 0.2 percentage points from indirect effects).[9] By product category, the prices of textiles, apparel, and seafood are expected to rise significantly. By country, tariffs on Chinese (+0.18 percentage points) and Mexican (+0.06 percentage points) imports are found to be key contributors to inflation. As the effects are expected to materialize with a lag, adding 0.4 percentage points to inflation in 2025 and 0.3 percentage points in 2026.

In April, U.S. consumer price inflation rose 2.3% year-on-year (0.2% month-on-month), continuing a modest disinflationary trend.[10] This moderation can be attributed to substantial inventory accumulation[11] by firms ahead of the tariff implementation, which is currently mitigating the impact of the sharp increase in import prices. However, given the aforementioned estimates, inflationary pressure is expected to intensify in the second half of the year. The rise in inflation is likely to weaken U.S. domestic demand momentum by undermining corporate profitability and eroding real household income.

Transmission channels of tariff increases to inflation

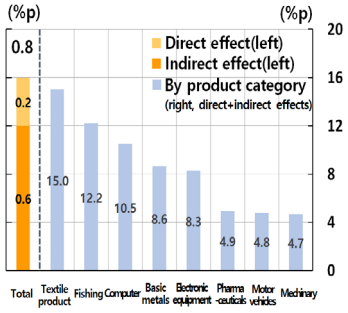


U.S. inflation outlook



Source: Author's estimates.

Price increases by product category due to tariffs



Source: Author's estimates.

[9] Without accounting for the elasticity of substitution, the estimated impact of tariffs on inflation increases to 1.0 percentage point when directly applying the fixed coefficients from the input-output table. This implies that 0.2 percentage points of the upward pressure on prices can be mitigated if firms respond to the tariff increases by replacing imported goods with domestic alternatives and shifting their import sources to countries not subject to the tariffs.

[10] Tariff effects were observed in certain imported final goods included in the CPI, such as furniture (0.6% in March → 1.5% in April, month-on-month) and media equipment (-0.3% → 1.0%).

[11] In the first quarter of 2025, prior to the tariff increases, U.S. customs-cleared imports rose by 25.5% year-on-year, approximately four times the 2024 annual average growth rate of 5.9%.

Key assumptions used to estimate the inflationary impact of tariff measures

□ To estimate the effect of tariffs on U.S. consumer prices, the analysis referred to recent studies by the Federal Reserve (Minton & Somale, 2025; Barbiero & Stein, 2025) and employed the Inter-Country Input-Output (ICIO) tables. In addition, elasticity of substitution in import demand, pass-through rates, and transmission lags were incorporated to enhance the realism of the estimation.

① **Tariff rate:** Reflecting reciprocal tariff suspensions (April 9) and the U.S.-China agreement (May 12), tariffs were applied as follows: 30% on Chinese goods, 25% on Canadian and Mexican goods (excluding USMCA-covered items), 10% on other countries, and item-specific tariffs on certain items such as automobiles and steel, consistent with the baseline scenario of the outlook in May.

② **Substitution elasticity:** Under the assumption of a CES function for import demand, elasticities for import source substitution (5.8-6.4, average by product category) and domestic substitution (2.9-3.2) were drawn from item-specific coefficients provided by the Global Trade Analysis Project (GTAP) and the U.S. International Trade Commission (USITC). Given the short forecast horizon, the elasticities were adjusted to 50% of the original estimates, following the approach adopted in related studies.

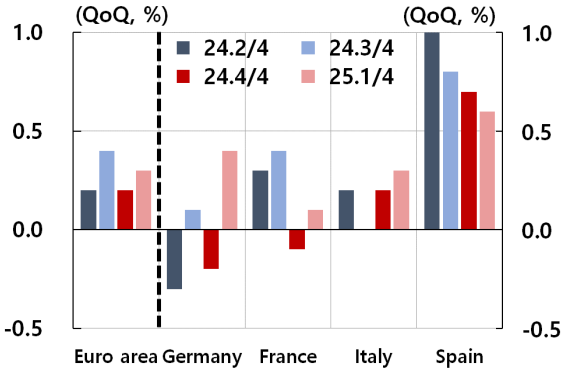
③ **Pass-through rate and transmission lag:** The pass-through rate of tariffs to import prices was assumed to be 1.0 (full pass-through, based on Cavallo et al. (2021)), while the pass-through from producer to consumer prices was applied at 0.2-0.8 depending on product categories (author's estimates). The inflationary impact of tariffs was assumed to occur with 57% of the impact materializing in the first year and 30% in the second year, based on Cuba-Borda et al. (2025).

④ **Exchange rate:** The recent depreciation of the U.S. dollar, a 7% decline calculated as the expected average over the coming year relative to the average over the past three months, was also factored into the analysis alongside tariff effects. A pass-through rate of 0.46 from exchange rate changes to import prices was applied, based on estimates from existing research by the Federal Reserve Bank of New York.

1.4. The euro area economy is expected to grow at a modest pace, reflecting the impact of U.S. tariff measures, despite continued monetary policy easing. In the first quarter, the euro area's growth exceeded market expectations, recording a 0.3% quarter-on-quarter increase, driven by improving domestic demand in major economies and front-loaded exports ahead of the U.S. tariff implementation.[12] By country, Germany saw a rebound in growth led by net exports and private consumption, while Italy and France benefited from inventory accumulation. The euro area is expected to sustain a gradual recovery, supported by progress in disinflation and accommodative monetary policy. However, the pace is likely to remain modest amid weakening sentiment caused by heightened trade policy uncertainty and the materialization of U.S. tariff impacts.[13] In 2026, the area's growth is anticipated to strengthen somewhat as major countries, including Germany, implement fiscal expansion plans, notably through increased defense spending. The outlook remains highly sensitive to the trajectory of tariff negotiations and the possibility of early fiscal expansion across member states.

Euro area growth accelerates in Q1 2025

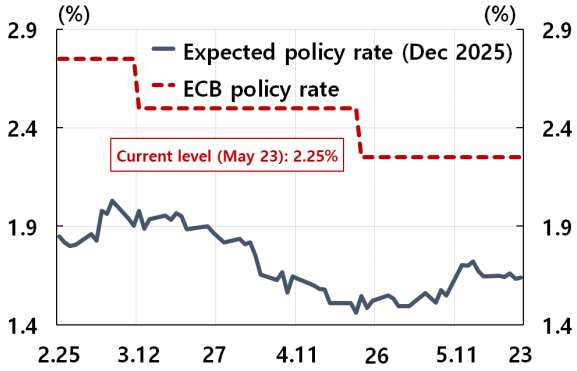
Figure 1.7. GDP growth rate in the euro area and major countries



Source: Eurostat.

Monetary policy easing continues in the euro area

Figure 1.8. Market expectations for the ECB policy rate for December 2025[1)]



Note: 1) Based on implied interest rates from OIS forward markets.
Source: Bloomberg.

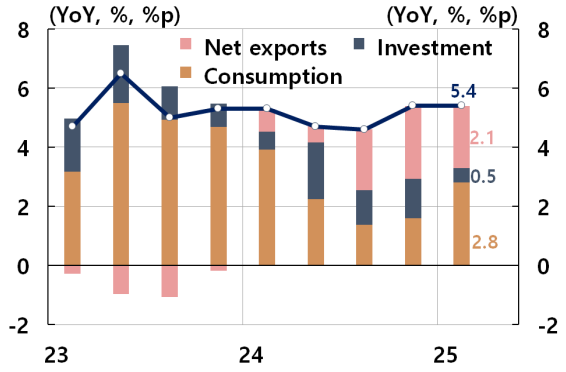
[12] During the first quarter of 2025, industrial production in the euro area increased by 2.2% compared to the previous quarter, marking the first positive turnaround since the first quarter of 2023. This increase was largely attributable to a sharp rise in output in March, immediately prior to the tariff announcement. Ireland, which hosts a large number of U.S.-based multinational corporations, recorded robust economic growth (3.2% increase quarter-on-quarter), driven by the front-loading of shipments that significantly boosted exports.

[13] Following the implementation of tariffs, the composite PMI declined, led by weakness in the services sector.
► Composite PMI: Mar 2025: 50.9 → Apr: 50.4 → May^{P}: 49.5, Services PMI: Mar 2025: 51.0 → Apr: 50.1 → May^{P}: 48.9

1.5. The China's economy is expected to offset much of the negative impact from U.S. tariffs as easing trade tensions with the U.S. and active domestic demand stimulus measures. China's economy posted solid growth in the first quarter, driven by strong manufacturing output and exports, partly reflecting front-loaded shipments. Domestic demand also expanded at a favorable pace, supported by continued policy efforts, including equipment upgrades and a consumer goods trade-in scheme. In April, however, the imposition of steep U.S. tariffs on Chinese goods weighed heavily on external demand, which led to a sharp decline in new export orders[14] and significantly heightened downside risks to growth. These pressures have since eased following the tariff agreement between the U.S. and China on May 12. Looking ahead, while higher tariffs are expected to exert continued pressure on the external sector, China's growth will likely remain resilient, supported by active domestic stimulus measures[15] and efforts to diversify exports toward markets such as ASEAN and Latin America. Nevertheless, uncertainty surrounding the growth outlook remains elevated amid persistent trade tensions with major economies.

China maintains favorable growth, supported by active stimulus measures.

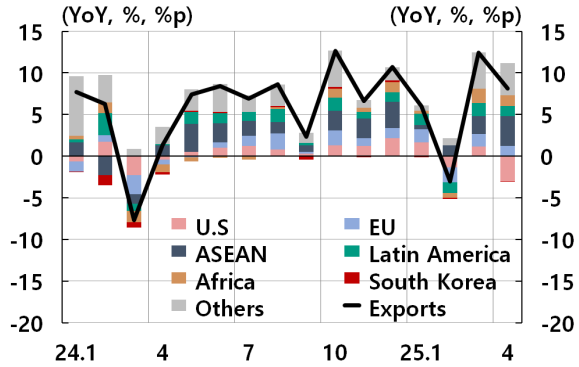
Figure 1.9. China's GDP growth rate and contributions



Source: National Bureau of Statistics of China.

China expected to respond through export market diversification

Figure 1.10. China's exports by country



Source: General Administration of Customs of the People's Republic of China.

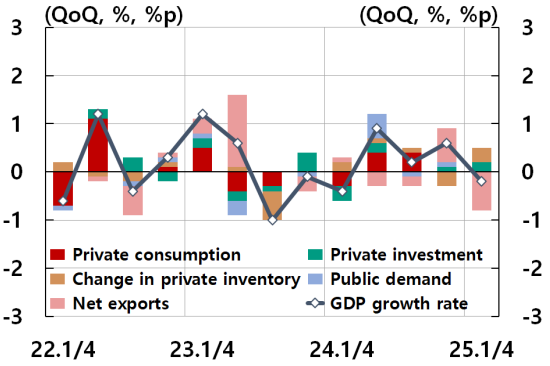
[14] In April 2025, the manufacturing new export orders index fell to 44.7, the lowest level since the COVID-19 crisis (previous low: 41.6 in April 2022).
► Manufacturing new orders index (benchmark = 50) Jan 2025: 49.2 → Feb: 51.1 → Mar: 51.8 → Apr: 49.2
► Manufacturing new export orders index (benchmark = 50) Jan 2025: 46.4 → Feb: 48.6 → Mar: 49.0 → Apr: 44.7

[15] At China's annual "Two Sessions" held in March, the China's government announced its intention to pursue expansionary fiscal policy in 2025. Related measures include the creation of a venture investment fund for science and technology startups and policies to boost household consumption. In addition, the People's Bank of China lowered the reserve requirement ratio by 0.5 percentage points, effective on May 15, from 9.5% to 9.0% for large banks, and from 6.5% to 6.0% for small- and medium-sized banks.

1.6. The Japan's economy is expected to experience a slowdown in its recovery momentum. In the first quarter of 2025, Japan's economy contracted for the first time in four quarters, as the contribution of net exports to growth turned negative, primarily due to a rise in service imports. Domestic demand continued to recover, albeit moderately. While private consumption remained sluggish amid deteriorating consumer sentiment,[16] caused by rising food prices, facilities investment maintained its upward trend, driven by efforts to promote digital transformation and address labor shortages. The pace of Japan's recovery is expected to weaken as exports and facilities investment come under pressure from the negative effects of U.S. tariff measures. In particular, Japan is likely to be more directly affected by item-specific tariff measures, since automobiles and automotive components account for a significant share of its exports to the U.S. (34% for both Japan and Korea in 2024). However, factors such as ample investment capacity created by the continuation of strong corporate earnings, increased household income from rising wages, and government measures to stimulate consumption[17] are expected to partially mitigate the downward pressure on the economy.

Japan's economy turned negative in Q1 2025

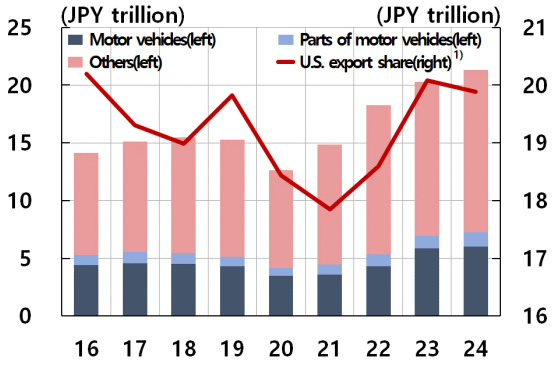
Figure 1.11. Japan's GDP growth rate and contributions



Source: Cabinet Office of Japan.

Automobiles and automotive components account for significant share of Japan's exports to U.S.

Figure 1.12. Japan's customs-cleared exports to the U.S.



Note: 1) As a share of Japan's total customs-cleared exports.
Source: Haver.

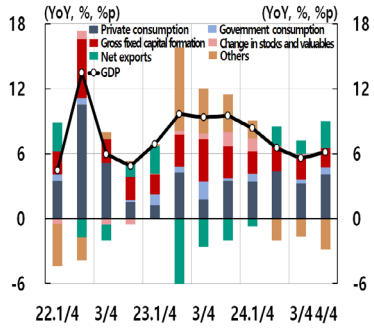
[16] ► Consumer Confidence Index (CCI): Q2 2024: 37.2 → Q3: 36.9 → Q4: 36.1 → Q1 2025: 34.7

[17] In response to growing concerns over an economic slowdown driven by the U.S. tariff policy, the Japanese government announced an emergency economic package on April 25. Relevant measures include consumption-boosting initiatives, such as a JPY 10 per liter cut in gasoline and diesel prices, and subsidies for electricity and gas, as well as financial support for businesses, such as the expansion of low-interest loan programs for small and medium-sized enterprises.

1.7. Emerging market economies (EMEs) in Asia are maintaining favorable growth. However, their growth momentum is expected to weaken significantly as the impact of U.S. tariff measures becomes more pronounced. India has sustained growth of around 6%, thanks to increased agricultural output,[18] expanded government infrastructure investment, and robust services exports. The ASEAN-5 countries have also maintained growth in the 5% range, driven by strong foreign direct investment inflows that boosted facilities investment, as well as strong exports[19] stemming from the front-loading of shipments prior to U.S. tariff implementation. Nevertheless, growth in EMEs is projected to decelerate markedly due to weakening investor sentiment and a slowdown in global trade. In actuality, business conditions and export outlook in EMEs did deteriorate significantly following the announcement of reciprocal tariffs by the U.S. Vietnam, Thailand, and Malaysia are likely to be particularly vulnerable to shifts in U.S. tariff policy, given their high dependence on exports to both the U.S. and China.[20]

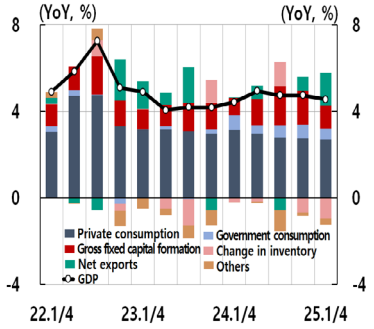
Investment and exports drive growth in EMEs in Asia

Figure 1.13. GDP growth rate in India



Source: Ministry of Statistics and Programme Implementation of India.

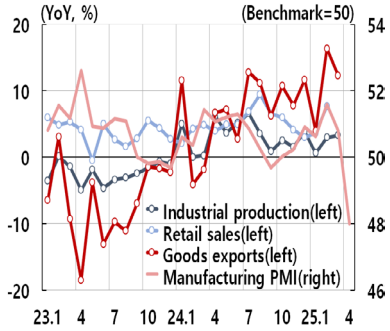
Figure 1.14. GDP growth rate in four ASEAN states[1)]



Note: 1) Excluding Vietnam.
Sources: statistical offices of each area, Haver.

ASEAN-5 countries post strong exports but a decline in PMI

Figure 1.15. Real sector indicators in ASEAN-5[1)2)]



Notes: 1) Industrial production (mining and manufacturing) excludes Indonesia.
2) Retail sales excludes the Philippines.
Sources: statistical offices of each area.

[18] ► India's GDP composition (2024, GVA basis): Agriculture, forestry & fisheries: 14%, Manufacturing: 17%, Services: 55%, Others: 14%

[19] ► ASEAN-5 customs-cleared exports (YoY, %): Q3 2024: +10.0 → Q4: +10.1 → Q1 2025: +10.7

[20] ► Shares of exports of EMEs in Asia to the U.S. and China

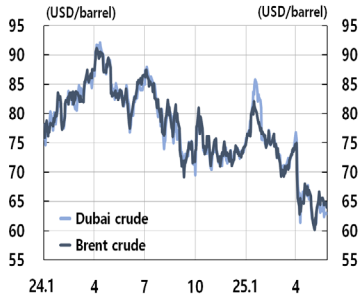
(Exports as % of GDP)	Vietnam	Thailand	Malaysia	Philippines	Indonesia	India
► Share of exports to the U.S.[1)]	22.4	9.4	8.9	2.6	1.7	2.1
► Share of exports to China[1)]	14.0	6.6	10.5	2.4	4.7	0.4

Note: 1) As of 2023.
Sources: UN Comtrade, IMF.

1.8. International oil prices are expected to fluctuate in the mid-to-high USD 60 range, lower than previous projection, amid weakening global demand and easing of OPEC+ production cuts. Recently, oil prices fell sharply due to heightened concerns over a global economic slowdown following the imposition of high tariffs between the U.S. and China, as well as the expansion of production by OPEC+.[21] However, prices rebounded to the mid-USD 60 level following trade negotiations between the U.S. and both the UK and China. Going forward, international oil prices are projected to remain well below the February forecast, as global demand remains sluggish due to slower economic growth, while OPEC+ continues to increase production. However, the decline in prices is expected to be partially limited by a potential stagnation or reduction in U.S. oil output,[22] as low prices weigh on U.S. producers who face higher production costs. Upside and downside risks to the oil price outlook persist simultaneously, including ongoing trade negotiations between the U.S. and major economies, U.S. sanctions on Iranian oil exports, and ceasefire or peace talks related to the Russia-Ukraine war.

International oil prices fell sharply due to weakening global demand and increased production from OPEC+

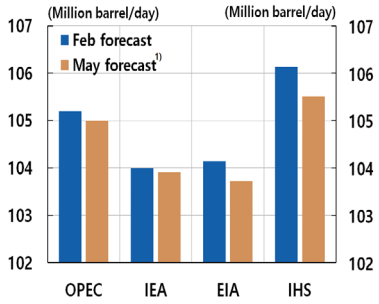
Figure 1.16. Global oil prices



Source: Bloomberg.

Forecasts for global oil demand lowered by major institutions

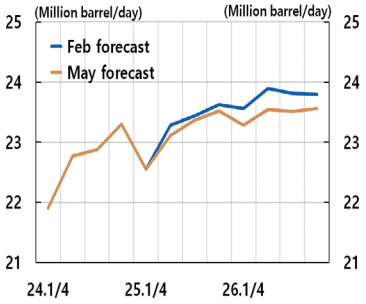
Figure 1.17. Global crude oil demand forecasts for 2025



Note:1) HIS data as of April.
Sources: OPEC, IEA, EAI, HIS.

EIA lowers its U.S. oil production forecast

Figure 1.18. U.S. crude oil production forecasts



Source: U.S. Energy Information Administration (EIA).

[21] OPEC+ has been gradually easing its production cuts since April 2025, including the reduction of 2.2 million barrels per day implemented since January 2024. Although output was previously expected to rise by approximately 138,000 barrels per day each month (Reuters, March 4), downward pressure on oil prices has intensified after OPEC+ announced a planned increase of approximately 410,000 barrels per day for May and June, with the aim to strengthen compliance by member states that had been producing above their quotas.

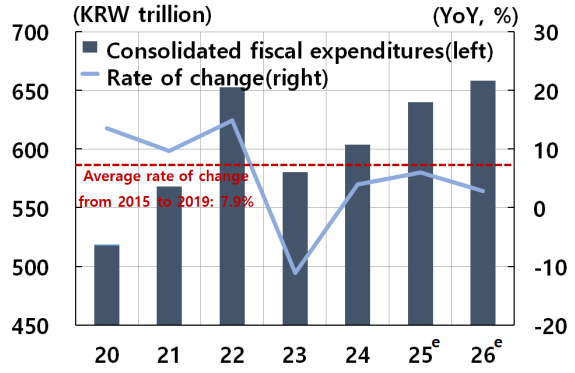
[22] Amid the recent dip in oil prices, many U.S. oil companies have scaled back drilling and reduced capital expenditure budgets. According to the Federal Reserve's energy survey, the average breakeven price for new well drilling by U.S. producers stands at USD 65 per barrel (WTI basis), exceeding the recent price (average of USD 62 per barrel from April 1 to May 27).

Korea's Economy

1.9. The consolidated fiscal expenditures of the central government are expected to increase more than previously projected this year, due to the supplementary budget. Following a modest year-on-year decline in the first quarter, fiscal expenditures are projected to expand more than previously anticipated, driven by the implementation of a supplementary budget[23] focused on the second and third quarters. As a result, the rise in expenditure is expected to approach levels typical of prior years. From a forward-looking perspective, the potential introduction of additional fiscal support measures in response to economic conditions may represent an upside risk, while concerns over a possible decline in tax revenues, driven by weakening corporate earnings, constitute a downside risk. Despite this year's supplementary budget, the deficit ratio as a percentage of GDP in the managed fiscal balance is projected to decline to the low-to-mid 3% range.

Consolidated fiscal expenditures for 2025 to expand due to supplementary budget

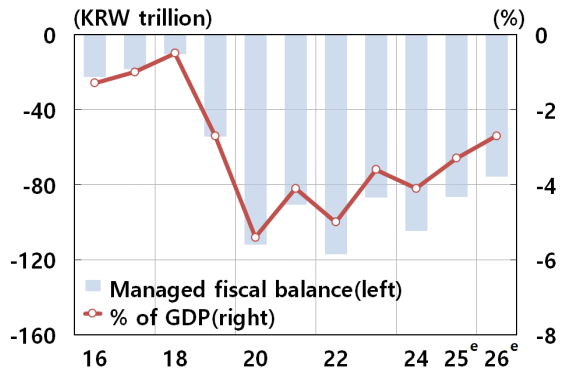
Figure 1.19. Outlook for the consolidated fiscal expenditure[1)]



Note: 1) Figures for 2024 are based on the national settlement of accounts; 2025 figures on the supplementary budget; and 2026 figures on the National Fiscal Operation Plan.
Sources: Ministry of Economy and Finance, Bank of Korea.

Deficit ratio in managed fiscal balance projected to decrease gradually

Figure 1.20. Outlook for the managed fiscal balance[1)]



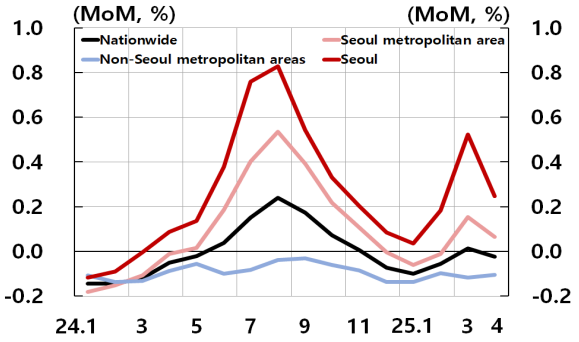
Note: 1) Figures for 2024 are based on the national settlement of accounts; 2025 figures on the supplementary budget; and 2026 figures on the National Fiscal Operation Plan.
Source: Ministry of Economy and Finance.

[23] The government has designated KRW 12 trillion out of the KRW 13.8 trillion supplementary budget (including KRW 3.3 trillion for disaster response, KRW 4.5 trillion for trade and AI support, and KRW 5.1 trillion for household support) as subject to early execution, with 70% scheduled to be disbursed within three months. (Ministry of Economy and Finance press release, May 8, 2025)

1.10. Nationwide housing prices, as measured by the housing price index, turned downward as sharp increases in certain districts of Seoul subsided following government stabilization measures, while weakness in non-Seoul metropolitan areas continued. In the Seoul metropolitan area, the pace of housing price growth slowed, reflecting the impact of measures[24] announced by the government on March 19, including the expansion and re-designation of the land transaction permission zone. In non-Seoul metropolitan areas, housing prices continued to decline, largely due to delays in resolving oversupply issues such as the accumulation of unsold new homes.[25] *Jeonse* (housing lease on a lump-sum deposit basis) prices shifted from an upward trend to a flat trend in April as the seasonal moving period came to an end, while the increase in monthly rents also moderated.

Housing prices rebound temporarily in March before turning downward again in April

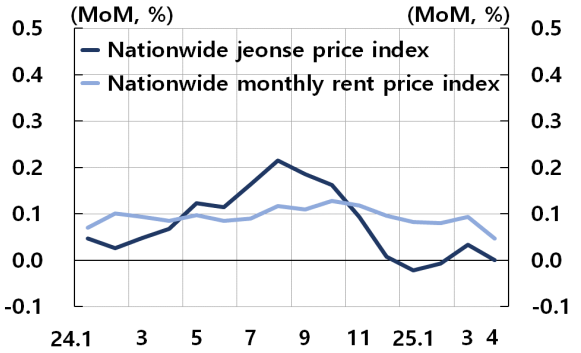
Figure 1.21. Housing price index[1)]



Note: 1) Monthly trends.
Source: Korea Real Estate Board.

***Jeonse* prices hold steady after shifting to upward trend, while rise in monthly rent decelerates**

Figure 1.22. *Jeonse* and monthly rent price index[1)]



Note: 1) Monthly trends.
Source: Korea Real Estate Board.

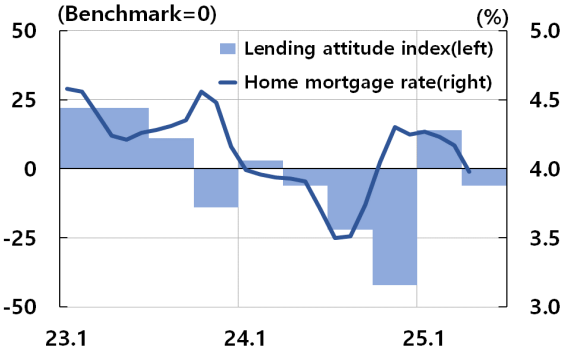
[24] The housing market stabilization measures, jointly announced by relevant ministries on March 19, 2025, include the expansion and re-designation of the land transaction permission zone in the Gangnam, Seocho, Songpa, and Yongsan districts; strengthened management of household lending; establishment of orderly trading environment; reinforcement of the foundations for future housing supply; and consideration of the additional designation of regulated zones in the event of prolonged market overheating.

[25] As of March 2025, the number of unsold new housing units in non-Seoul metropolitan areas stood at approximately 52,000, remaining above the 50,000 mark since December 2022. (Ministry of Land, Infrastructure and Transport)

1.11. Housing prices are expected to remain polarized between the Seoul metropolitan area and non-Seoul metropolitan areas. In the Seoul metropolitan area, although underlying upward pressure is likely to persist due to easing financial conditions and concerns over housing supply shortages, the pace of increase is projected to remain moderate, influenced by macroprudential policy. In contrast, housing prices in non-Seoul metropolitan areas are expected to show only limited improvement, as delays in resolving the oversupply of unsold new housing units continue.

Home mortgage rates decrease, while lending attitudes tighten

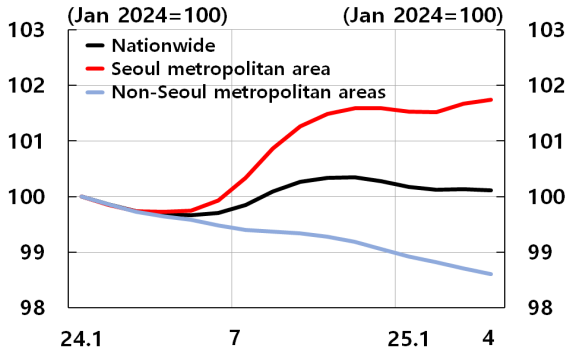
Figure 1.23. Lending attitude index[1] and home mortgage rates



Note: 1) For household loans (housing), positive (+) and negative (-) values indicate easing and tightening of lending attitudes, respectively. The figure for Q2 2025 is a projection.
Source: Bank of Korea.

Housing prices rebound in Seoul metropolitan area but continue to decline in non-Seoul metropolitan areas

Figure 1.24. Housing price index by region

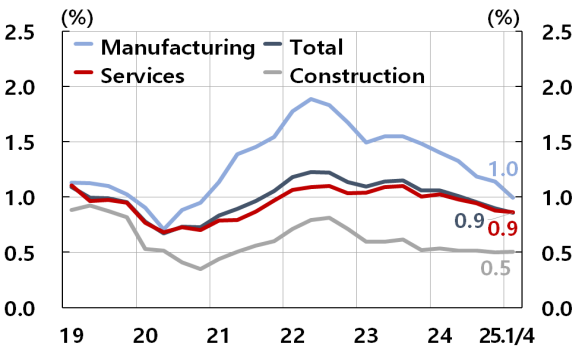


Source: Korea Real Estate Board.

1.12. Wage conditions are assessed to be under moderately increased downward pressure. The job vacancy rate, which is closely linked to regular payment trends, continues to decline (Figure 1.28). This decrease is particularly pronounced in the construction sector, where the vacancy rate remains extremely low, and in the manufacturing sector, which shows a relatively steep downward trend. Consequently, the V/U ratio (job vacancy rate to unemployment rate), an important indicator of labor market tightness, has remained below its long-term average of 0.33 (2015–2024) for two consecutive quarters. Furthermore, corporate earnings, which typically influence special (bonus) payments with a lag of approximately two quarters, are expected to deteriorate further due to the impact of the U.S. tariff policy (Figure 1.29).

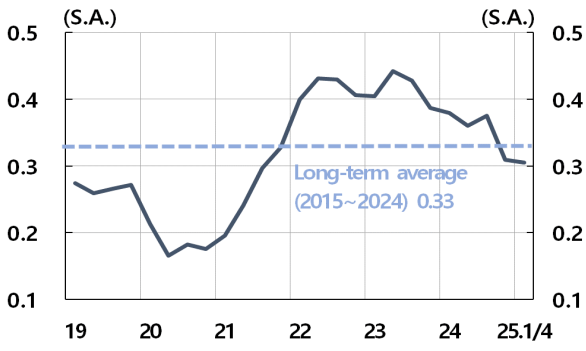
Job vacancy rate continues to decline

Figure 1.25. Job vacancy rate by sector



Labor market tightness falls below long-term average

Figure 1.26. Labor market tightness

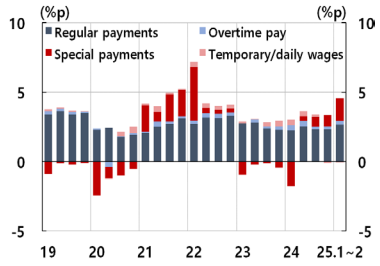


Sources: Ministry of Employment and Labor, Statistics Korea.

1.13. The nominal wage growth rate is projected to remain robust in the first half of 2025 but to decelerate sharply in the second half, largely due to worsening corporate earnings influenced by U.S. tariff measures. In January and February, nominal wage growth expanded to 5.1%. This growth was primarily driven by a surge in special payments, including performance-based bonuses distributed by major companies, despite regular wage growth for full-time employees falling below the long-term average of 3.6% (2015–2024). While overall wage growth is expected to maintain its strength through the first half, a significant slowdown is anticipated in the latter half as the adverse effects of deteriorating corporate performance become more pronounced. Given the current slump in the manufacturing and construction sectors, regular payments growth is expected to be slightly lower than those recorded in the previous year.

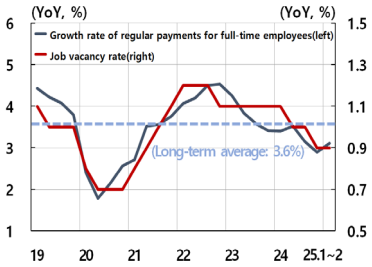
Wages increase in January–February, driven by special payments

Figure 1.27. Breakdown of contributions to wage growth



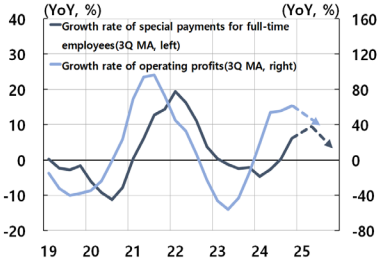
Regular payments growth for full-time employees remain below long-term average

Figure 1.28. Growth rate of regular payments



Special payments growth expected to weaken in the second half

Figure 1.29. Growth rate of special payments

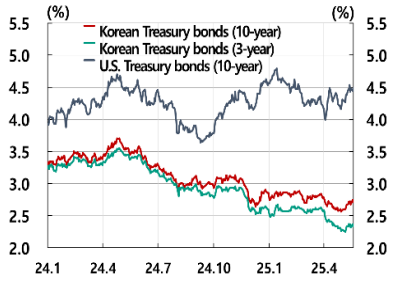


Sources: Ministry of Employment and Labor, FnGuide.

1.14. Since the February outlook, long-term market interest rates have declined considerably due to growing concerns over a domestic economic slowdown, which has subsequently heightened expectations for interest rate cuts. The yield on 3-year Treasury bonds, after fluctuating within a narrow range, dropped to approximately 2.3% after late March, reaching a low of 2.25% on May 7. This movement was primarily driven by economic concerns stemming from intensified U.S. tariff measures and mass net purchases of Treasury bond futures by foreign investors.[26] Credit spreads on corporate bonds remained relatively stable, with spreads on both prime(AA-) and non-prime(A-) bonds hovering near long-term averages.[27] However, concerns over credit risks persisted due to the slight deterioration of funding conditions for some low-credit and vulnerable-sector firms in the wake of the Homeplus crisis. Stock prices fell sharply after late March, affected by escalating global trade tensions and concerns about economic and corporate earnings slowdowns. Subsequently, they rebounded on the expectations of progress in tariff negotiations between the U.S. and other major economies. The KRW/USD exchange rate declined after April, supported by a weaker U.S. dollar amid concerns over the diminishing sentiment of U.S. economic exceptionalism, as well as reduced global risk aversion spurred by the suspension of reciprocal tariffs and signs of progress in U.S.–China trade talks.

Long-term interest rates decline considerably

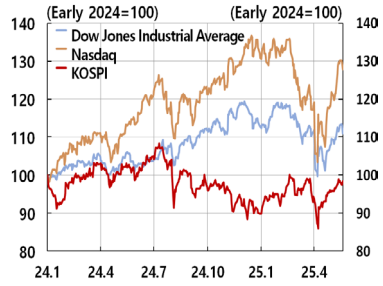
Figure 1.30. Korea and U.S. Treasury bond yields



Sources: Bank of Korea, Bloomberg.

Stock prices rebound following earlier decline

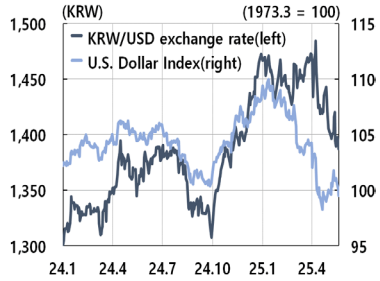
Figure 1.31. Korea and U.S. stock prices



Sources: Bank of Korea, Bloomberg.

KRW/USD exchange rate declines

Figure 1.32. KRW/USD exchange rate and U.S. Dollar Index



Sources: Bank of Korea, Bloomberg.

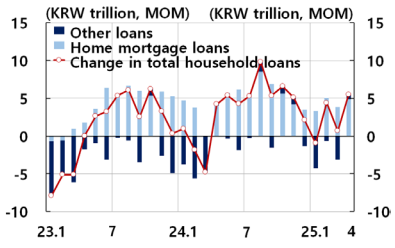
[26] Net purchases of Treasury bond futures by foreign investors (3-year, 1,000 contracts, during period): 57.6 in 2024 → 20.5 in February 2025 → -24.8 in March → 203.0 from April 1 to May 9

[27] ► Corporate bond credit spread (AA–, 3-year, bp): 68 at end-Dec 2024 → 57 at end-Feb 2025 → 55 at end-Mar → 58 at end-Apr → 58 as of May 9 (Long-term average: 51)
► Corporate bond credit spread (A–, 3-year, bp): Same dates: 168 → 159 → 157 → 161 → 161 (Long-term average: 155)

1.15. Household loans and corporate financing remained subdued in the first quarter of 2025 but registered accelerated growth in April. In the first quarter, household loans from financial institutions continued to decelerate, extending a trend observed since the second half of 2024. This slowdown was primarily driven by a deceleration in housing-related lending, which reflected the fall in housing transactions at the end of 2024 and the beginning of 2025. In addition, other segments of household lending contracted due to seasonal factors, including income from bonuses and the disposal of non-performing loans. In April, however, household loans expanded significantly, reflecting the lagged effects of increased housing transactions in February and March,[28] coupled with the dissipation of seasonal factors that had constrained non-housing household loans. Bank lending to corporations also remained sluggish through March due to weak demand amid heightened domestic and external uncertainties, alongside tighter risk management by banks. Yet, in April, corporate loans increased sharply, driven by seasonal demand for working capital,[29] easing capital adequacy pressures at major banks,[30] and targeted financial support in response to challenges from U.S. tariffs. In terms of direct financing, March recorded net redemptions as companies reduced their short-term debt ahead of quarter-end financial ratio assessments. By April, however, direct financing returned to a growth trend, supported by declining market interest rates and robust investor demand.

Growth of household loans accelerate in April

Figure 1.33. Change in household loans[1)2)]



Notes: 1) Deposit banks and non-bank financial institutions.
2) Excluding policy loans from the National Housing & Urban Fund(own resources).
Source: Bank of Korea.

Bank's corporate loans shift to expand

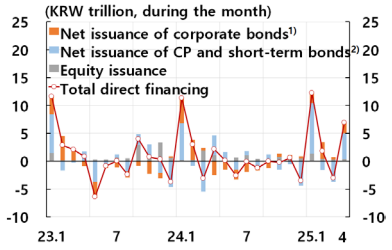
Figure 1.34. Change in bank[1)] corporate loans



Note: 1) Based on deposit banks.
Source: Bank of Korea.

Corporate direct financing rebounds as seasonal factors fade

Figure 1.35. Corporate direct financing



Notes: 1) Including P-CBO.
2) Based on general companies.
Source: Bank of Korea.

[28] ► Seoul apartment transaction volume (1,000 units, based on contract date): 3.7 in Oct 2024 → 3.3 in Nov → 3.1 in Dec → 3.3 in Jan 2025 → 6.2 in Feb → 9.4^{e} in Mar
► Nationwide housing transaction volume (10,000 units, based on contract date): 4.9 in Oct 2024 → 4.1 in Nov → 3.6 in Dec → 3.3 in Jan 2025 → 4.8 in Feb → 6.4^{e} in Mar

[29] In April, seasonal demand among companies for working capital increased, driven by factors such as dividend payments, value-added tax (VAT) obligations, and the refinancing of temporary repayments made to manage quarter-end financial ratios.

[30] As major financial holding companies met their target Common Equity Tier 1 (CET1) ratios as of the end of the first quarter, affiliated banks expanded corporate lending to fulfill their previously established annual loan targets.

Main Premises of the Baseline Outlook

Global economic growth rate (%): 3.3 in 2024 → 2.7 in 2025 (down 0.2) → 2.7 in 2026 (down 0.1)

The **global economic growth** forecasts for 2025 and 2026 have been revised downward by 0.2 and 0.1 percentage points, respectively, reflecting the impact of elevated U.S. tariffs relative to the beginning of 2025 and uncertainty regarding future trade negotiations, despite recent progress in U.S.–China trade negotiations.

The growth forecasts for **the United States** have been lowered by 0.5 percentage points for 2025 and 0.2 percentage points for 2026, due to anticipated inflationary pressures from tariff increases and weakening momentum in domestic demand. In **the euro area**, the 2025 growth forecast has been revised downward by 0.1 percentage points, while the 2026 projection has been raised by 0.1 percentage points, supported by ongoing monetary easing and planned fiscal expansion from 2026 onward, despite the impact of the U.S. tariff policy. The growth forecasts for **China** remain unchanged for both 2025 and 2026, as proactive domestic stimulus measures are expected to largely offset external trade shocks.

Global trade growth (%): 3.8 in 2024 → 2.4 in 2025 (down 0.5) → 2.5 in 2026 (down 0.3)

The global trade growth forecasts have been revised downward by 0.5 percentage points for 2025 and 0.3 percentage points for 2026, reflecting the mounting impact of tariff-related effects and significant constraints on corporate activity amid heightened trade-related uncertainty.

Global oil prices (Brent crude, USD/barrel): 80 in 2024 → 69 in 2025 (down 6) → 65 in 2026 (down 6)

The global oil price forecasts have been lowered by USD 6 for both 2025 and 2026, reflecting weakened global demand and increased production by OPEC+ countries.

	2024	2025e)			2026e)		
	Year	H1	H2[3)]	Year[3)]	H1	H2	Year[3)]
Baseline assumptions of the outlook							
Global economic growth (%)[1)]	**3.3**	3.0	2.4	**2.7** [-0.2]	2.6	2.8	**2.7** [-0.1]
• United States	**2.8**	2.0	1.3	**1.6** [-0.5]	1.7	2.1	**1.9** [-0.2]
• Euro area	**0.9**	1.1	0.8	**0.9** [-0.1]	1.0	1.3	**1.2** [+0.1]
• China	**5.0**	4.8	3.7	**4.2** [-]	4.0	4.1	**4.0** [-]
• Japan	**0.2**	1.3	0.5	**0.9** [-0.2]	0.1	0.6	**0.4** [-0.3]
Global trade growth (%)[1)]	**3.8**	3.2	1.6	**2.4** [-0.5]	1.9	3.2	**2.5** [-0.3]
Global oil price[2)]	**80**	71	67	**69** [-6]	65	65	**65** [-6]

Notes: 1) Year-on-year.
2) Based on Brent crude; USD per barrel; period average.
3) Figures in [ ] indicate change from assumptions as of February 2025.
Sources: statistical offices of each area, Bloomberg, Research Department.

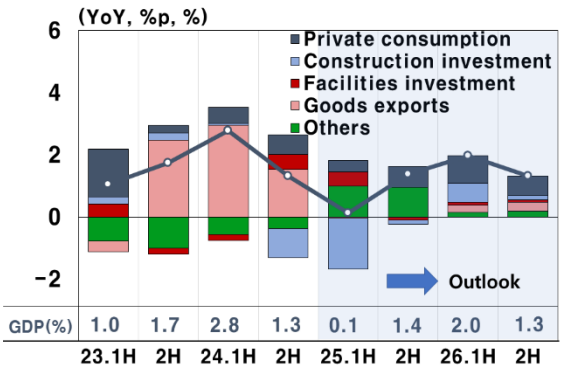
2. Macroeconomic Outlook for Korea

Economic Growth

2.1. Korea's economy is projected to grow by 0.8% in 2025, significantly below the February forecast of 1.5%, as the weakness in domestic demand has been prolonged due to a delayed recovery in economic sentiment and due to a construction sector downturn, coupled with increased downward pressure on exports from a deteriorating trade environment. In the first quarter, a decline in economic sentiment—primarily driven by heightened domestic and global uncertainties—combined with temporary shocks such as construction site accidents, adverse weather conditions, and large-scale wildfires, contributed to a negative growth rate of -0.2%. Although a modest rebound is anticipated in the second quarter, supported by the alleviation of political uncertainty, overall growth is expected to fall short of previous expectations due to the continued slump in construction and slow recovery in private consumption. In the second half of 2025, domestic demand is projected to improve as the effects of interest rate cuts and of the supplementary budget take hold, accompanied by a recovery in economic sentiment. In terms of exports, although recent trade tensions have eased modestly, owing to reciprocal tariff suspensions and progress in U.S.–China trade negotiations, export growth is expected to remain subdued amid persistently high tariff levels and ongoing uncertainty surrounding the negotiation process. In 2026, despite lingering adverse effects from global trade frictions, the economy is forecast to expand by 1.6%, mainly backed by domestic demand.

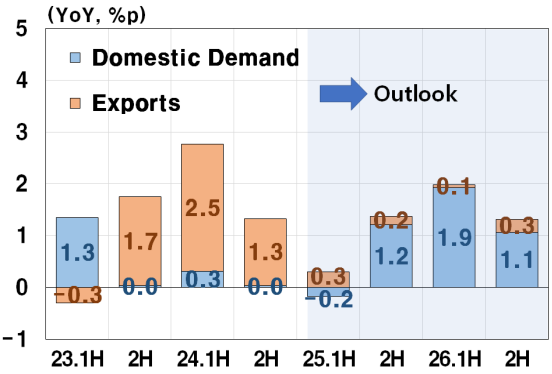
Economic growth expected to remain sluggish amid sustained downward pressures on exports, despite a gradual recovery in domestic demand

Figure 2.1. Contributions to growth by expenditure component



Source: Research Department.

Figure 2.2. Net contributions of domestic demand and exports to growth[1)]

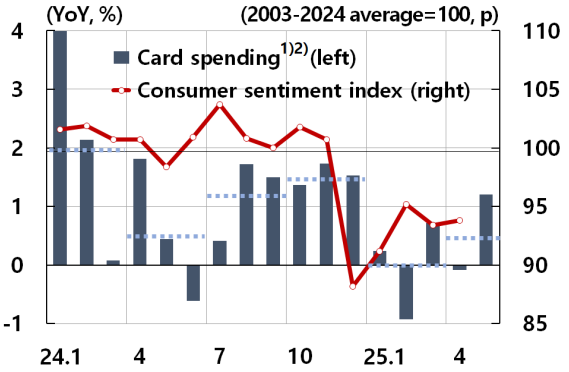


Note: 1) Estimated by excluding impact on imports.
Source: Research Department.

2.2. By sector, private consumption remains sluggish for longer than previously anticipated. However, it is expected to improve gradually as consumer sentiment improves and financial conditions ease. Despite an increase in household income, private consumption declined in the first quarter as heightened domestic and external uncertainties dampened sentiment. High-frequency indicators, such as credit card spending, remained sluggish through April, but signs of recovery began to emerge in May particularly in face-to-face services sector such as dining and leisure. Looking ahead, private consumption is projected to improve gradually, supported by a rebound in sentiment and the effects of earlier income gains and interest rate reductions. In summary, private consumption is projected to increase by 1.1% in 2025, undershooting the 1.4% forecast in February, before rising to 1.6% in 2026.

Recovery in private consumption delayed as consumer sentiment stays subdued

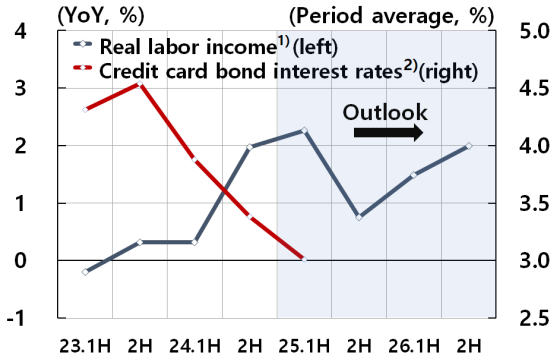
Figure 2.3. Consumer sentiment and card spending



Notes: 1) In real terms; dotted lines indicate quarterly averages. Card spending for May 2025 reflects data from May 1 to 24.
Source: Bank of Korea.

Improved household income and financial conditions expected to support gradual rebound in private consumption

Figure 2.4. Real household labor income and credit card bond interest rates

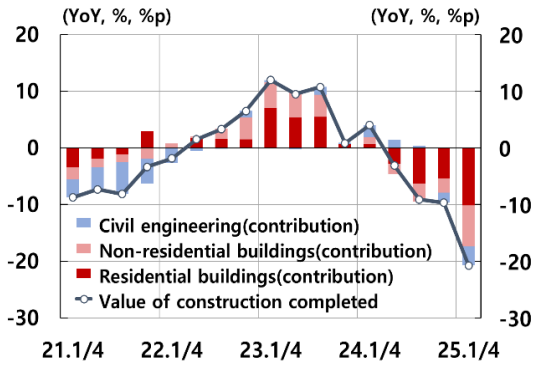


Notes: 1) Estimated as "number of employed persons × average wage per person / consumer price index."
2) Linked to installment interest rates; data for the first half of 2025 reflects the period from January 1 to May 24.
Sources: Ministry of Employment and Labor, Statistics Korea, Bank of Korea, Korea Financial Investment Association.

2.3. Construction investment is projected to contract sharply in 2025, largely due to a substantial downturn in the first half of the year. In the first quarter, construction investment declined more significantly than anticipated, reflecting the lingering impact of a sustained decline in construction starts, a steep drop in new housing sales amid heightened domestic uncertainty, and impacts of reduced workdays due to non-economic factors, such as tightened safety regulations. While the downturn is expected to moderate in the second half—thanks to easing of financial conditions, a rebound in sentiment, and fiscal stimulus through a supplementary budget—the pace of recovery is likely to remain subdued due to structural downward pressures, including a backlog of unsold housing units in non-metropolitan areas and chronic vacancies in commercial properties. Overall, construction investment is forecast to decline by 6.1% in 2025, and to increase by 2.8% next year.

Construction investment decline widens, driven by building construction

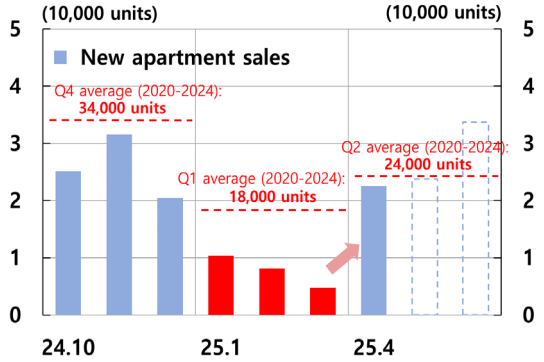
Figure 2.5. Contribution to the change in the value[1] of construction completed by type



Note: 1) Based on real terms.
Sources: Statistics Korea.

New apartment sales are expected to recover gradually following a sharp decline in Q1

Figure 2.6. New apartment sales[1]

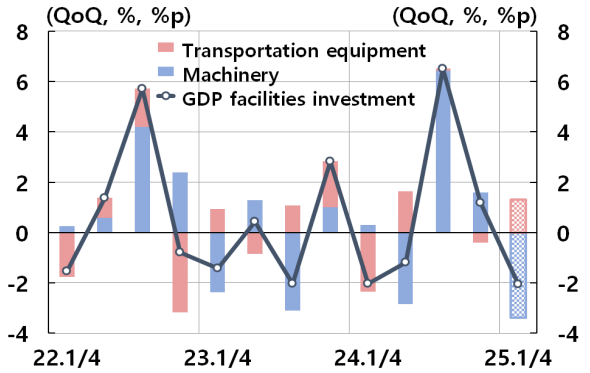


Note: 1) Figures for May–June 2025 are planned volume (as of May 19, 2025).
Source: Real Estate 114.

2.4. Facilities investment is expected to fall short of earlier projections due to a deepening slowdown in non-IT sectors amid worsening trade conditions, offsetting continued investment by semiconductor companies. In the first quarter, facilities investment declined, particularly in machinery, reflecting mounting downward pressure from heightened uncertainty and delays in corporate investment decisions. Looking at facilities investment throughout the year, machinery investment will be supported by ongoing investments by semiconductor companies on advanced-node processes. However, this support will likely be offset by a sharper-than-expected contraction in the non-IT sector, leading to lower overall growth than the previous forecast. Transportation equipment investment is expected to expand in the first half of 2025, mainly driven by demand for corporate vehicles following temporary cuts to individual consumption tax, although this momentum is expected to taper off gradually in the second half. In aggregate, facilities investment is projected to grow by 1.8% in 2025 and by 1.0% in 2026.

Facilities investment declines in Q1 amid heightened domestic and external uncertainty

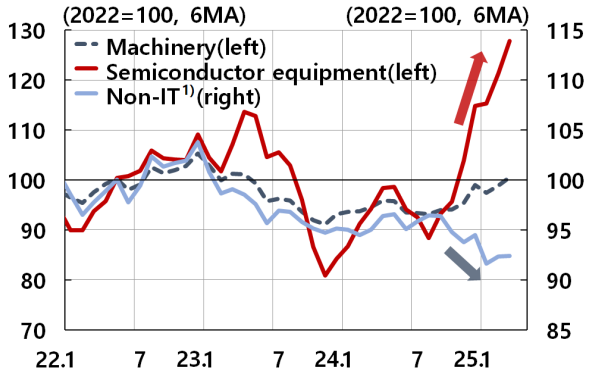
Figure 2.7. Facilities investment GDP[1] and contribution by component[2]



Notes: 1) Based on real GDP (seasonally adjusted)
2) Contributions of machinery and transportation equipment in Q1 2025 are based on estimates by the Research Department.
Source: Bank of Korea.

Disparity widens in machinery investment between semiconductor and non-IT sectors

Figure 2.8. Machinery-related facility investment index by sector

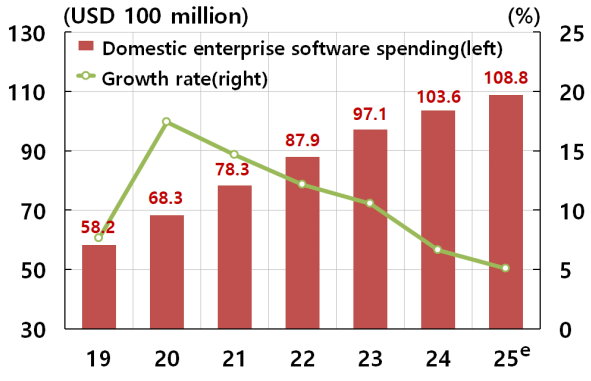


Note: 1) Machinery used in the general industrial, agricultural, construction, and metals sectors.
Source: Statistics Korea.

2.5. Investment in intellectual property products(IPP) is projected to maintain an upward trend, bolstered by ongoing R&D initiatives by major corporations and increased government budget allocations. In the first quarter, IPP investment recorded only modest growth, as a slowdown in software investment partially offset strong R&D spending by leading companies. Looking ahead, the growth momentum of IPP investment is projected to strengthen again, driven by corporate efforts to boost technological competitiveness, coupled with the government-led promotion of investment in advanced sectors, such as AI, and accelerated R&D budget spending. Elevated external uncertainties, however, are downside risks given their potential to curb corporate investment. Overall, IPP investment is forecast to increase by 3.2% in 2025 and by 2.5% in 2026.

Software investment slows following a sharp surge during the pandemic

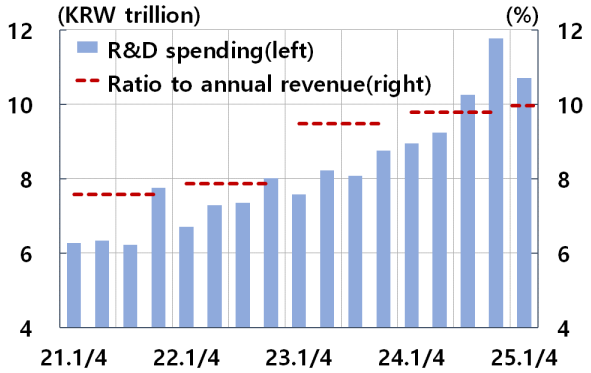
Figure 2.9. Domestic enterprise software spending



Source: Gartner.

R&D investment by major companies maintains strong momentum

Figure 2.10. R&D spending by top 5 companies[1)]

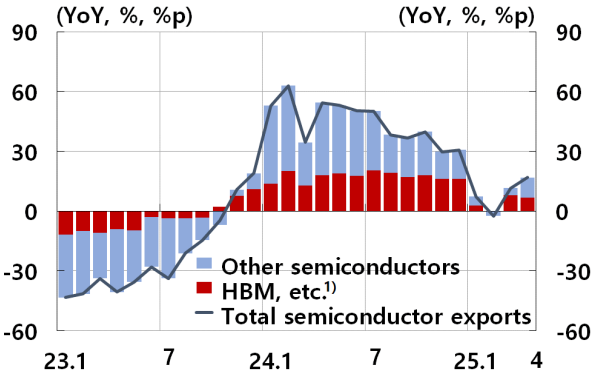


Note: 1) Based on reported R&D spending; includes Samsung Electronics, SK Hynix, Hyundai Motors, Hyundai Mobis, and LG Electronics.
Source: Dart.

2.6. Goods exports, on a real GDP basis, are projected to fall short of earlier expectations due to the impact of the heightened U.S. tariff policy. In the first quarter, exports declined quarter-on-quarter, reflecting sustained weakness in non-IT sectors amid intensified competition with China and a temporary slowdown in semiconductor exports,[31] despite increased AI-related demand. Exports have rebounded markedly in recent months, led by semiconductors, partly due to front-loaded shipments ahead of U.S. tariff imposition. However, the impact of U.S. trade policy is expected to become increasingly pronounced — particularly in exports to the U.S.—causing the annual growth rate to fall short of earlier expectations.[32] Accordingly, goods exports are forecast to contract by 0.1% in 2025, followed by a modest increase of 0.7% in 2026. Meanwhile, **goods imports**, on a real GDP basis, are expected to rise by just 0.2% in 2025 and 1.5% in 2026, both below previous forecasts, reflecting a delayed recovery in domestic demand and worsening export conditions.

Semiconductor exports rebound after a weak start to the year

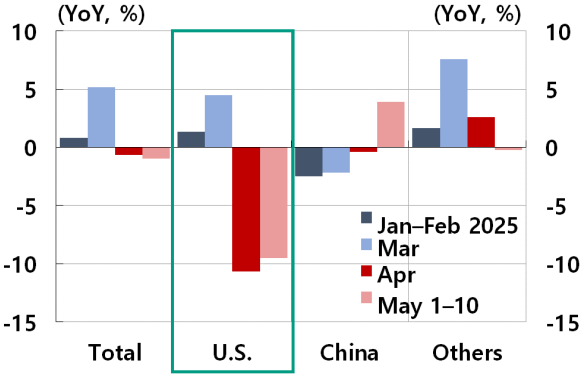
Figure 2.11. Breakdown of semiconductor export growth



Note: 1) Multichip package memory devices (HS code 8542.32.3000).
Source: Korea Customs Service.

Exports to the U.S. show a decline in daily average value since April

Figure 2.12. Daily average exports by region



Source: Korea Customs Service.

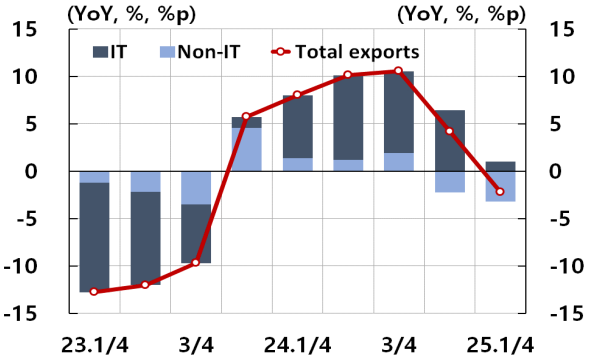
[31] A temporary demand gap appears to have emerged in the first quarter, as demand for HBM3E produced by major domestic manufacturers was deferred in anticipation of upgraded products scheduled for shipment from the second quarter of 2025 onward.

[32] Exports to the U. S. have continued to decline sharply on a daily average basis since April, largely due to base effects from last year's strong performance and increased establishment of overseas EV production bases by domestic firms. This suggests that the impact of the newly-imposed tariffs on U.S.-bound exports has yet to fully materialize.

2.7. Exports on a customs basis (nominal, YoY) are projected to contract across most product categories this year, with the exceptions of semiconductors and ships. In the first quarter, exports on a customs basis decreased by 2.2%, due to persistent weakness in non-IT sectors and a sharp deceleration in semiconductor exports influenced by temporary factors. Export declines are expected to deepen in the second half of 2025, driven by the impact of U.S. tariff hikes and falling oil prices. Specifically, sectors such as automobiles and steel/metals—which are heavily reliant on the U.S. market—are projected to experience further contraction due to higher tariffs. Petroleum products and petrochemicals are also expected to post steeper declines than previously forecast, reflecting weakness in oil prices. While semiconductor exports are likely to remain on an upward trend, supported by robust AI-related investments, their growth rate is expected to fall short of earlier projections amid new U.S. trade barriers and intensifying global competition. Looking ahead, the performance of exports on a customs basis will be heavily influenced by the progress of trade negotiations and the adaptability of Korean companies in responding to evolving tariff policies. **Imports on a customs basis (nominal, YoY) are also expected to decline, primarily due to the impact of lower oil prices.**

Exports on a customs basis contracted in Q1, led by non-IT products amid an IT export slowdown

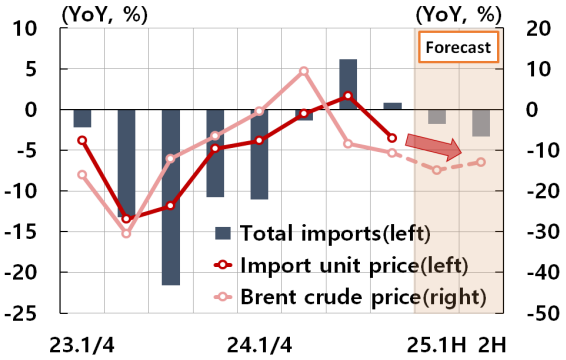
Figure 2.13. Contribution to exports on a customs basis by item



Source: Korea Customs Service.

Imports on a customs basis expected to decline further due to falling global oil prices

Figure 2.14. Imports on a customs basis, unit price, and global oil prices



Sources: Korea Customs Service, Bank of Korea.

Economic Growth Outlook[1)]

(YoY, %)

	2024	2025[e)]			2026[e)]		
	Year	H1	H2	Year	H1	H2	Year
GDP growth rate[1)]	**2.0**	**0.1**	**1.4**	**0.8**	**2.0**	**1.3**	**1.6**
		<0.8>	<2.2>	<1.5>	<2.2>	<1.4>	<1.8>
• Private consumption	**1.1**	0.8	1.4	**1.1**	1.8	1.3	**1.6**
		<1.0>	<1.7>	<1.4>	<2.0>	<1.6>	<1.8>
• Construction investment	**-3.0**	-11.3	-1.1	**-6.1**	4.9	0.9	**2.8**
		<-6.7>	<1.1>	<-2.8>	<2.9>	<2.2>	<2.5>
• Facilities investment	**1.6**	4.9	-1.0	**1.8**	1.0	0.9	**1.0**
		<5.7>	<-0.2>	<2.6>	<1.9>	<2.1>	<2.0>
• IPP investment	**0.7**	1.4	4.8	**3.2**	3.7	1.4	**2.5**
		<2.5>	<4.9>	<3.7>	<3.4>	<2.9>	<3.1>
• Goods exports	**6.3**	-0.1	0.0	**-0.1**	0.6	0.8	**0.7**
		<0.7>	<1.2>	<0.9>	<1.2>	<0.5>	<0.8>
• Goods imports	**1.2**	0.8	-0.3	**0.2**	1.8	1.3	**1.5**
		<2.0>	<0.2>	<1.1>	<1.7>	<2.1>	<1.9>

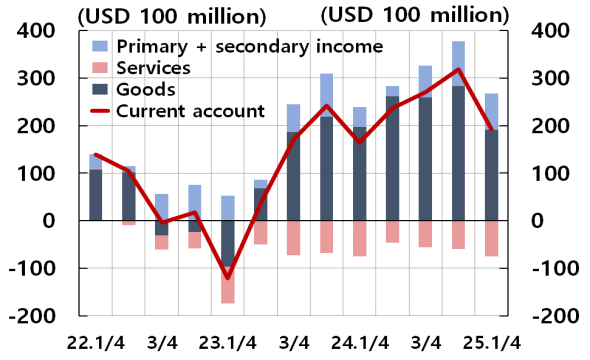
Note: 1) Figures in < > are projections as of February 2025.
Source: Research Department.

Current Account

2.8. The current account is expected to record a larger surplus than earlier forecast, despite deteriorating export conditions, supported by lower crude oil prices and a sluggish recovery in domestic demand. In the first quarter of 2025, the surplus in the current account far surpassed the outlook in February, with imports on a customs basis declining more sharply than previously anticipated in comparison to exports, and the primary income account maintaining a wide surplus[33]. Looking ahead, the goods account surplus is predicted to remain significant, as exports are expected to be sluggish, driven by worsening trade conditions, while imports are likely to decline further, primarily due to falling oil prices and slow domestic demand recovery. The primary income account, given the rise in foreign securities investment by residents, is forecast to witness a larger surplus than earlier projected, particularly in dividend income. Consequently, the surplus in the current account for this year and next year is expected to reach USD 82 billion and USD 72 billion, respectively. However, the possibility of increased imports from the U.S. in the course of bilateral negotiations could pose a downside risk to the current account balance.

Current account surplus remains significant, particularly in the goods account

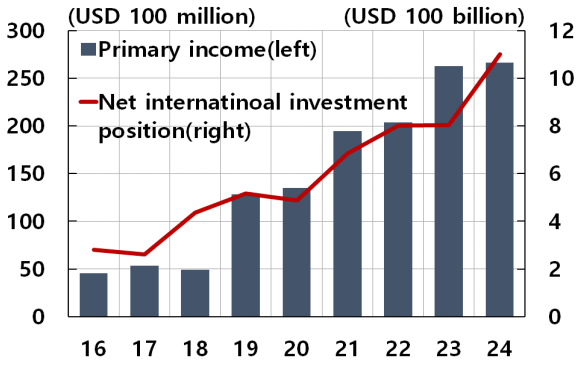
Figure 2.15. Current account balance



Source: Bank of Korea.

Primary income account surplus expands with a growing net international investment position

Figure 2.16. Primary income account balance



Source: Bank of Korea.

[33] The surplus in the primary income account in the first quarter of 2025 amounted to USD 8.5 billion, marking the third highest level following the fourth quarter of 2024 (USD 10.5 billion) and the fourth quarter of 2023 (USD 10.4 billion).

Current Account Outlook[1)]

(USD 100 million, %)

	2024	2025[e)]			2026[e)]		
	Year	H1	H2	Year	H1	H2	Year
Current account	**990**	**378**	**441**	**820**	**316**	**405**	**720**
		<285>	<465>	<750>	<296>	<404>	<700>
• Goods	**1,001**	411	434	**846**	376	415	**791**
		<351>	<450>	<801>	<371>	<411>	<781>
Exports (value)[2)]	**6,836**	3,272	3,369	**6,641**	3,299	3,404	**6,703**
	(8.1)	(-2.3)	(-3.4)	(-2.9)	(0.8)	(1.0)	(0.9)
Imports (value)[2)]	**6,318**	3,064	3,093	**6,157**	3,094	3,155	**6,249**
	(-1.7)	(-1.8)	(-3.3)	(-2.5)	(1.0)	(2.0)	(1.5)
• Services	**-237**	-124	-133	**-256**	-139	-137	**-276**
		<-120>	<-127>	<-246>	<-133>	<-133>	<-266>
• Primary and secondary income	**226**	91	139	**230**	78	127	**205**
		<54>	<142>	<196>	<58>	<127>	<185>

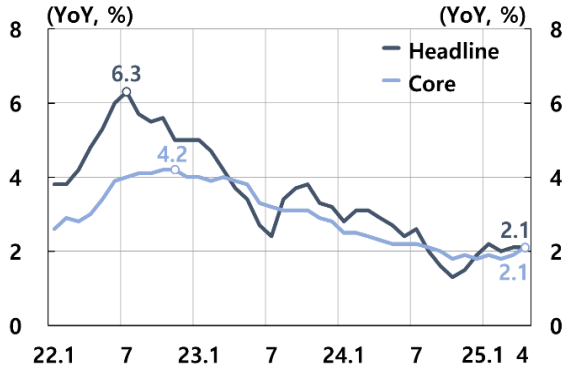
Notes: 1) Figures in < > are projections as of February 2025.
2) Figures in ( ) indicate YoY growth rates.
Source: Research Department.

Prices

2.9. In April, headline inflation remained in the low-2% range (2.1% YoY), as rising prices of processed foods and certain services offset the decline in global oil prices. Petroleum product prices decreased for the first time in five months, driven by falling global oil prices. The prices of agricultural, livestock, and marine products climbed, as gains in livestock and marine product prices outweighed the decline in agricultural product prices. Processed food prices continued their upward trend, with major items seeing further price hikes. Core inflation, excluding food and energy, edged up slightly to 2.1%, reflecting price increases in certain services despite subdued demand-side pressures.

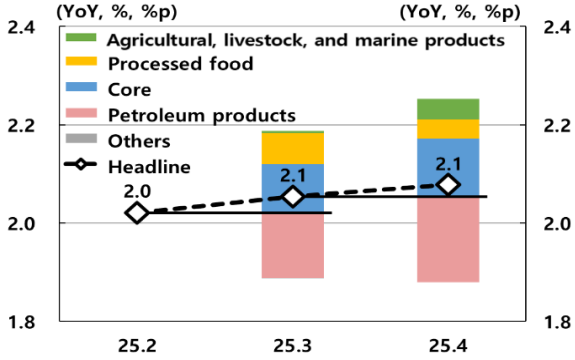
Headline inflation remains in the low-2% range

Figure 2.17. Headline and core inflation



Source: Statistics Korea.

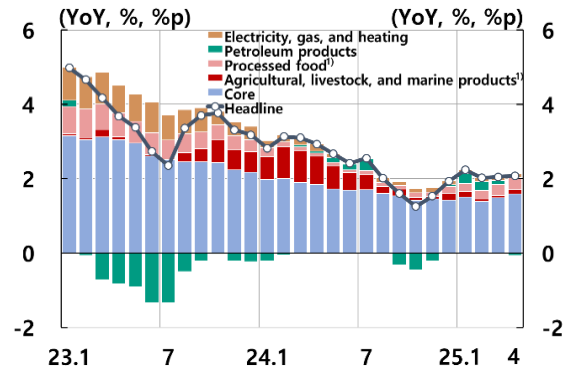
Figure 2.18. Decomposition of differences in monthly increase



Sources: Statistics Korea, Research Department.

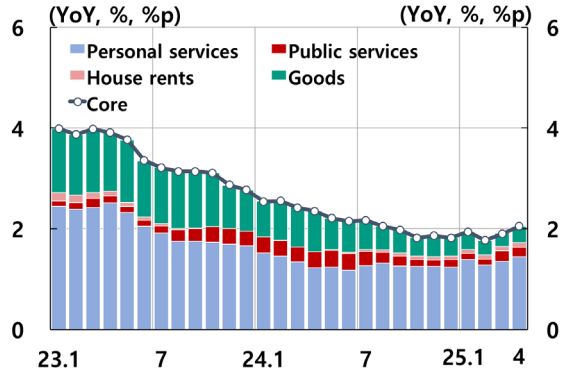
Processed food and certain service prices rise, while petroleum product prices turn downward

Figure 2.19. Contribution to headline inflation



Note: 1) Excluding core items.
Sources: Statistics Korea, Research Department.

Figure 2.20. Contribution to core inflation



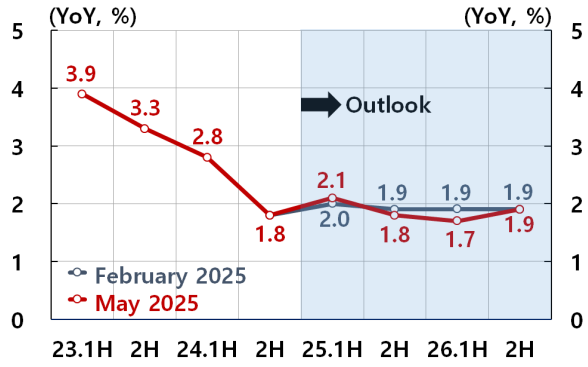
Sources: Statistics Korea, Research Department.

2.10. Household inflation expectations (for the next 12 months) has remained in the upper-2% level since the second half of 2024 but edged down slightly in May. Professionals' long-term inflation expectations for the next five years(Consensus Economics) have stayed slightly below 2%.[34]

2.11. Headline inflation is projected to be 1.9% in 2025, consistent with the previous outlook, reflecting a balance between upward pressures, such as price increases in processed foods and certain services, and downward pressures stemming from weak demand and declining global oil prices. Meanwhile, core inflation is projected to be 1.9%, slightly above the previous outlook of 1.8%. Prices of certain processed foods and services, such as dining out and university tuition, rose in the first half of the year. However, falling global oil prices[35] and weakening demand since the February outlook are expected to ease inflationary pressures. Looking ahead, headline inflation is projected to hover around 2% in the second quarter, before moderating to the upper-1% range in the second half of the year.

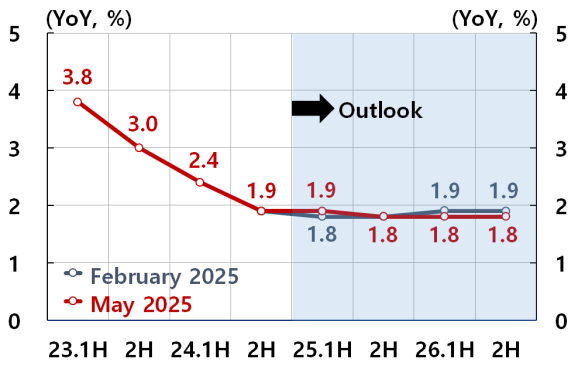
Headline inflation projected to stabilize near its target level

Figure 2.21. Headline inflation outlook



Sources: Statistics Korea, Research Department.

Figure 2.22. Core inflation outlook



Sources: Statistics Korea, Research Department.

Inflation Outlook[1)]

(YoY, %)

	2024	2025[e)]			2026[e)]		
	Year	H1	H2	Year	H1	H2	Year
Headline inflation	**2.3**	2.1 <2.0>	1.8 <1.9>	**1.9** <1.9>	1.7 <1.9>	1.9 <1.9>	**1.8** <1.9>
• Core inflation[2)]	**2.2**	1.9 <1.8>	1.8 <1.8>	**1.9** <1.8>	1.8 <1.9>	1.8 <1.9>	**1.8** <1.9>

Notes: 1) Figures in < > are projections as of February, 2025.
2) Excluding food and energy.
Source: Research Department.

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(%)	Jun 2024	Jul	Aug	Sep	Oct	Nov	Dec	Jan 2025	Feb	Ma.	Apr	May
BOK households (next 12 months)	3.0	2.9	2.9	2.8	2.8	2.8	2.9	2.8	2.7	2.7	2.8	2.6
Consensus economics professionals (five years ahead)	1.8	1.8	1.8	1.8	1.9	1.9	1.9	1.8	1.8	1.8	1.8	1.8

35

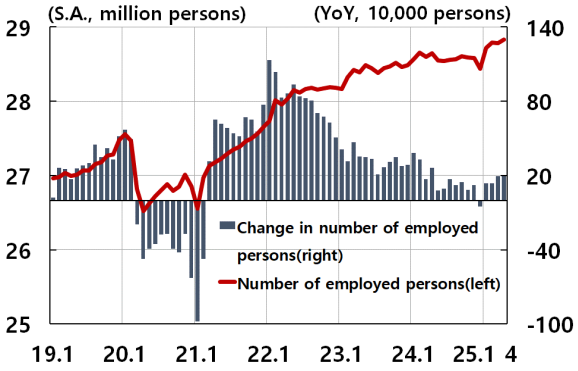
(Average over time)	Mar 2024	Apr	Dec	Jan 2025	Feb	Mar	Apr	May 1-28
► Dubai (USD/barrel)	84.7	89.4	73.3	80.1	75.0	71.7	66.9	63.0
► Gasoline (KRW/liter)	1,639.1	1,687.8	1,653.6	1,709.3	1,728.3	1,688.9	1,646.7	1,637.0

Employment

2.12. Employment is assessed to have remained weak recently. While the number of employed persons increased by a mid- to upper-100,000 range, indicating an upward trend, private sector employment (excluding public administration and health & welfare) continued to decline. By industry, jobs in the public administration and health & welfare sectors continued to grow significantly, while employment in construction and manufacturing remained sluggish. By age and gender, these job gains were mainly led by the elderly and women. Youth employment showed signs of recovery in April, with a slight rebound in the employment rate, but it remained weaker compared to the same period last year.

Number of employed persons grows by a mid- to upper-100,000 range

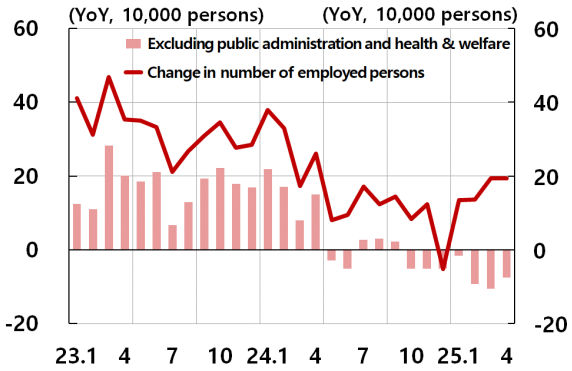
Figure 2.23. Change in number of employed persons



Source: Statistics Korea.

Employment remains weak outside public administration and health & welfare

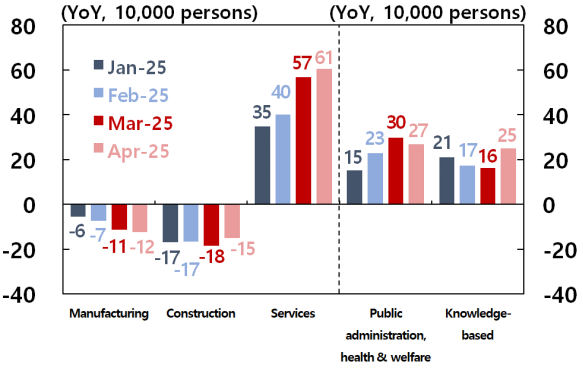
Figure 2.24. Unemployment and employment rates



Source: Statistics Korea.

Employment in construction and manufacturing remains weak

Figure 2.25. Number of employed persons by sector[1)]

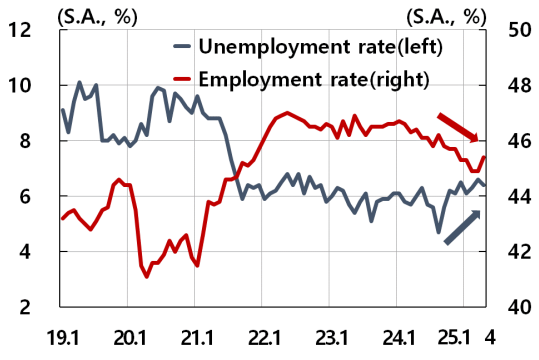


Note: 1) Knowledge-based sector includes: Information and communication; professional, scientific and technical services; and finance and insurance.

Source: Statistics Korea.

Youth employment continues to struggle

Figure 2.26. Youth employment and unemployment rates

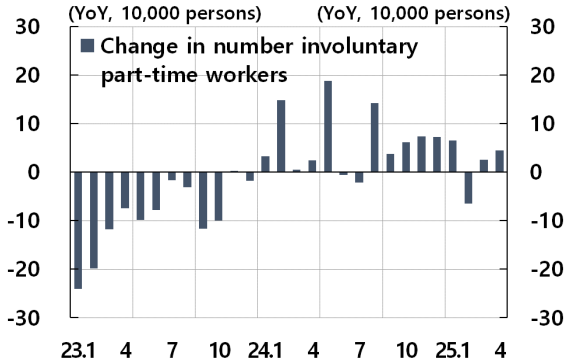


Source: Statistics Korea.

2.13. The quality of employment has deteriorated. The recent decline in job quality is primarily attributable to an increase in low-wage and part-time jobs. In particular, the number of involuntary part-time workers who work less than 36 hours per week has increased year-on-year since the second half of last year. A breakdown of employment growth by the share of low-wage workers (those earning less than KRW 10,000 per hour) reveals that the sectors with the highest proportion of low-wage workers (80-100%) are spearheading the rise in employment. This trend of increasing low-wage and involuntary part-time workers is expected to persist in the near term.

Part-time jobs continue to increase

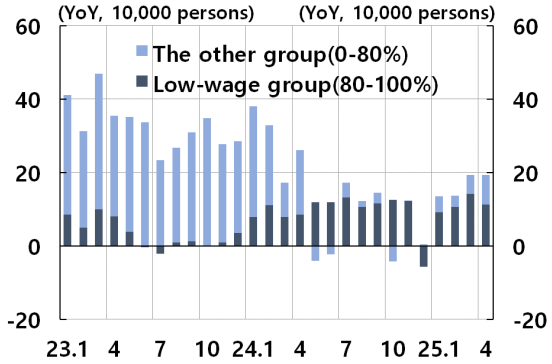
Figure 2.27. Change in number of involuntary part-time workers[1)]



Note: 1) Workers employed for less than 36 hours per week in their main job.
Sources: Economically Active Population Survey, author's calculation.

Low-wage sectors drive recent employment growth

Figure 2.28. Change in number of employed persons by share of low-wage workers[1)2)]



Note: 1) After classifying employed persons into 567 cells based on industry, company size, and occupation, these cells are then categorized into two groups based on the share of low-wage workers in each cell.
2) Workers earning less than KRW 10,000 per hour (minimum wage in 2024: KRW 9,860 per hour) are identified as low-wage workers.
Sources: Economically Active Population Survey: Additional Survey by Type of Work, author's calculation.

2.14. For 2025, the number of employed persons is projected to increase by 120,000, slightly above the previous outlook. While employment in manufacturing and construction is expected to continue contracting due to the sluggishness in construction activity and the impact of the U.S. tariff policy, job gains in public administration and health & welfare, driven by government job creation measures, are forecast to exceed previous expectations, slightly surpassing the outlook in February (+100,000). However, corporate rehabilitation filings by certain companies remain a latent risk to the employment outlook.

Employment Outlook[2)]

(10,000 persons, %)

	2024	2025[e)]			2026[e)]		
	Year	H1	H2	Year	H1	H2	Year
Employment change[1)]	**16**	15 <9>	9 <11>	**12** <10>	10 <12>	11 <10>	**10** <11>
Unemployment rate	**2.8**	3.1 <3.2>	2.7 <2.7>	**2.9** <2.9>	3.2 <3.1>	2.7 <2.7>	**3.0** <2.9>
(S.A.)	-	2.8	3.0	**2.9**	2.9	3.0	**3.0**
Employment rate[3)]	**62.7** **[69.5]**	62.6 [69.5]	62.9 [69.9]	**62.7** **[69.7]**	62.5 [69.6]	62.9 [70.1]	**62.7** **[69.8]**

Note: 1) Year-on-year.
2) Figures in < > are projections as of February 2025.
3) 15 years old and above, figures in [ ] are for 15-64 years old based on the OECD standard.
Source: Research Department.

FYI **Employment at a glance: Spider chart**

The recent employment situation cannot be fully assessed based solely on a limited set of quantitative indicators. Although headline labor market quantitative figures appear relatively robust, employment gains were largely concentrated in part-time and low-wage jobs, while disparities across industries and age groups continue to widen. In circumstances where the labor market sends mixed signals, **examining a broader set of metrics** beyond the key indicators such as employment figures and unemployment rates **can provide a more comprehensive understanding of labor market conditions** (Gilchrist and Hobijn, 2021).

Against this backdrop, the recent employment situation has been assessed using a spider chart methodology, as employed by the Federal Reserve Bank of Atlanta (Higgins, 2016) and the European Central Bank (Botelho and Silva, 2019). A total of 24 indicators were used and categorized into six areas for clarity: 1) quantity of employment; 2) quality of employment; 3) vulnerable groups (youth); 4) labor market slack; 5) labor flows; and 6) wages.[36]

Each indicator's position on the chart represents its percentile value within the period from January 2015 to April 2025. All indicators were seasonally adjusted, detrended using the Hodrick-Prescott (HP) filter, and standardized (see Table 1). In the spider chart, the innermost small circle indicates 0% (minimum), followed by rings representing 25%, 50%, 75%, and 100% (maximum). For indicators such as employment quality and unemployment rate, lower values reflect more favorable conditions. Accordingly, these indicators were inverted so that outward expansion on the chart consistently signifies a better situation across all areas. For instance, the unemployment rate in the first quarter of 2025 can be evaluated as being high, ranking within the top 25% over the past decade (see Figure 1).

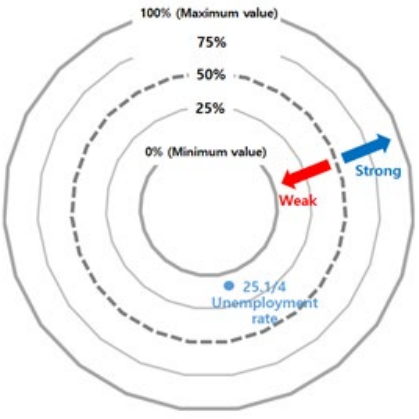
The spider chart offers a quick overview of labor market conditions and facilitates the assessment of polarization or vulnerability based on the overall shape of the chart. It also allows for the simultaneous comparison of multiple time points. However, the chart should be interpreted with caution, considering that the selection and categorization of indicators may be arbitrary; detrending may alter the original indicators and interpretations; and the position (percentile) of indicators may vary depending on the chosen reference period, thus leading to a different chart shape.

Table 1. Spider chart indicators

	Indicators (24 items)[1)]
Quantity of employment (4 items)	Number of employed persons, number of private-sector employed persons (excluding public and health & welfare), wage-weighted number of employed persons[2)], employment rate
Quality of employment (4 items)	Share of temporary and daily workers*, share of part-time workers (less than 18 hours)*, share of employees in micro businesses (fewer than 5)*, share of elementary, service, and skilled manual workers*
Vulnerable groups (youth, 3 items)	Youth employment rate, youth unemployment rate*, youth "time-out" population*
Labor market slack (6 items)	Unemployment rate*, labor market tightness*, time-related underemployed persons*, potential job seekers*, job search duration*, number of unemployment benefit claims*
Labor flows (4 items)	Labor force participation rate (non-economically active → economically active), voluntary turnover rate (employed → employed), job loss rate (employed → unemployed)*, job attainment rate (unemployed → employed)
Wages (3 items)	Nominal wage increase rate, regular payment increase rate, hourly wage increase rate

Note: 1) The asterisk represents an indicator where the direction has been reversed by multiplying it by -1.
2) This is calculated by defining 68 groups based on industry, firm size, and employment status, and applying the 2024 wage level of each group as a weight.

Figure 1. Spider chart overview

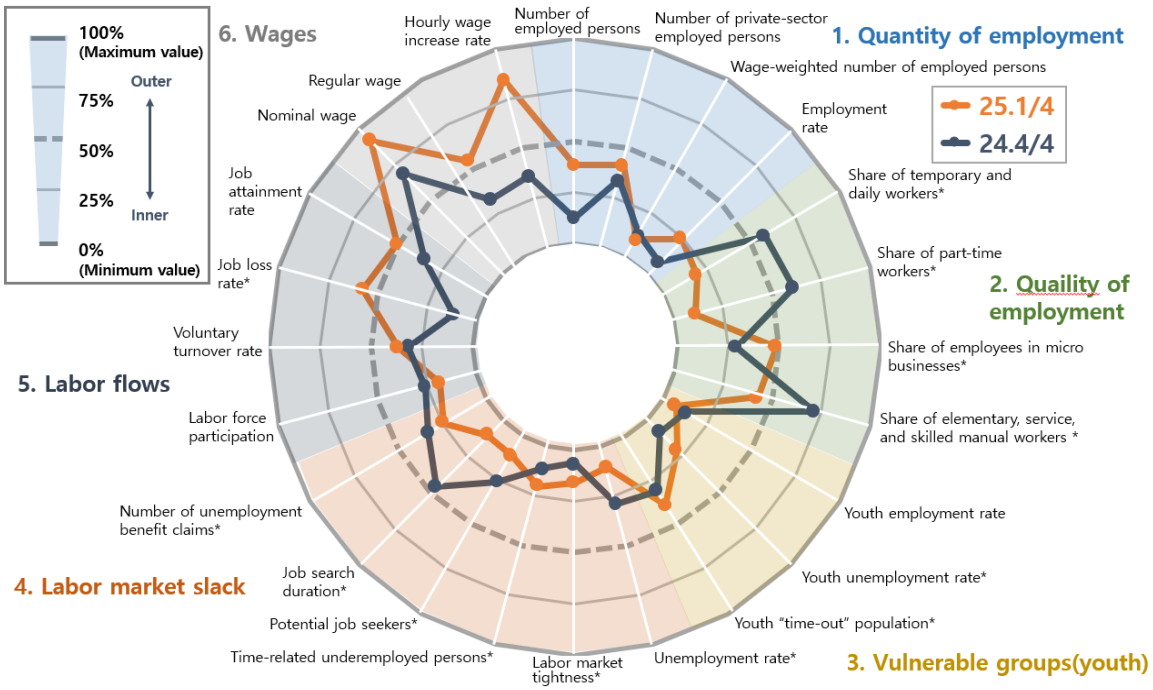


[36] There are no set criteria for the selection and categorization of indicators in a spider chart, and as such, indicators can be adjusted according to the structure of each country's labor market and the reference period.

The assessment using the spider chart indicates that the recent employment situation (Q1 2025) remained subdued. A significant number of indicators fell below the median (50%), with youth employment, in particular, exhibiting marked sluggishness(see Figure 2). The quantity of employment hovered around the median, supported by government-led job creation policies. However, the wage-weighted number of employed persons stood at just 11%, showing that recent job gains were concentrated in low-wage sectors.[37] In terms of the quality of employment, indicators for temporary, daily, and part-time workers (working less than 18 hours) were positioned below 25%. The youth employment rate was close to its lowest level over the analyzed period. Labor market slack indicators were largely positioned below 25%, highlighting a considerable degree of underutilized labor in the market. The number of workers desiring additional employment(time-related underemployed persons) and economically-inactive individuals willing to work(potential job seekers) also increased. Labor flows, which offer indirect insights into household and business sentiment, implied pessimism among workers as household participation in economic activities remained below 25%, and the voluntary turnover rate stayed below the median. Meanwhile, nominal wages were situated near the upper end of the distribution, primarily due to a surge in bonus payments based on last year's performance.

The overall shape of the spider chart appeared more uneven compared to the fourth quarter of 2024. While the quantity of employment and wages have improved, many other indicators have further deteriorated. In particular, the quality of employment has worsened due to an increase in part-time and temporary, and daily workers. Furthermore, the job search duration among the unemployed has lengthened considerably in the labor market slack, reflecting a deepening labor market mismatch. The partial improvement in the unemployment rate can be attributed to the resumption of the government-led job creation program early this year, which had ended earlier than expected in the fourth quarter of last year.

Figure 2. Labor market spider chart [1)2)]



Note: 1) The asterisk (*) represents an indicator where the direction has been reversed by multiplying it by -1.
2) Wages for Q1 2025 are based on those of January and February.
Sources: Economically Active Population Survey, Report on Labor Force Survey at Establishment, author's calculation.

[37] The historically high share of part-time workers in the quality of employment demonstrates that those positions have recently led the quantitative increase in employment.

As such, the recent job market has generally been sluggish, with some indicators moving in the opposite direction to the overall labor market situation.

To what extent have labor market indicators diverged, and what are the reasons behind the recent expansion? To understand this, after estimating the common movement (common factor) of indicators using Principal Component Analysis (PCA), the decoupling index was calculated based on the residuals not explained by the common factor (see Figure 3). The decoupling index increases as indicators deviate further from the common factor.[38]

The decoupling index for the first quarter of this year climbed significantly compared to the fourth quarter of last year. This was mainly driven by wages remaining elevated due to the delayed payment of performance bonuses, which stood in contrast to the overall weakness in labor market conditions. Furthermore, the increase in employment—largely driven by government-supported jobs and low-wage, part-time workers—produced employment figures that appear stronger than the underlying labor market conditions, whereas the overall quality of employment declined, thereby contributing to the rise in decoupling (see Figure 4).

Figure 3. Decoupling index

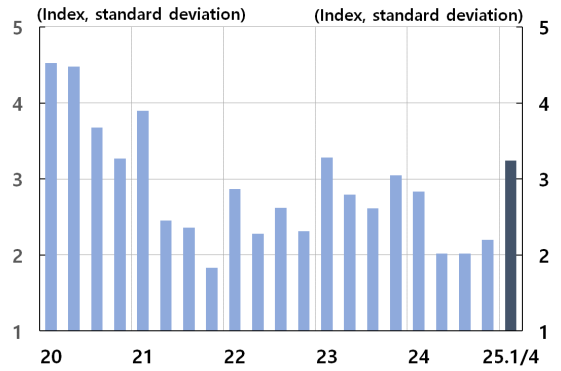
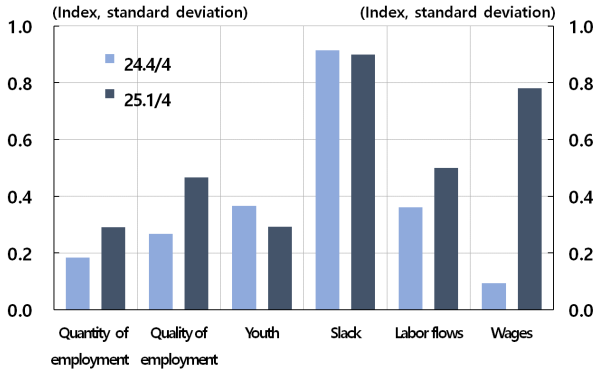


Figure 4. Contribution to decoupling by factor



Sources: Economically Active Population Survey, Report on Labor Force Survey at Establishment, author's calculation.

[38] This tends to expand when uneven shocks occur across sectors, such as a pandemic, and can also expand when the economic situation rapidly changes, or policies and institutions have a significant impact.

3. Risk Assessment

Key Risks to the Outlook

3.1. On the future growth path, there remains significant uncertainty related to the future developments of trade negotiations, the pace of recovery in economic sentiment, and developments in the global financial market. Inflation is expected to be heavily influenced by oil price and exchange rate movements, both of which have recently exhibited high volatility.

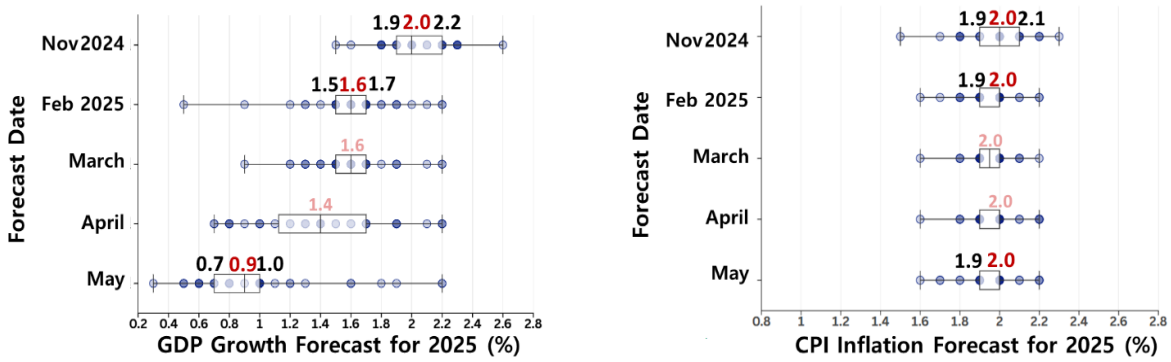
	Upside risks	Downside risks
Growth	• Further easing of global trade tensions • A swift improvement in sentiment driven by easing of domestic political uncertainty • Government's economic stimulus measures	• Resurgence of trade tensions among major economies and prolonged uncertainty • Instability in global financial market • Continued structural and cyclical slowdown in the construction sector
Inflation	• Corporate moves to raise prices • Higher agricultural prices driven by abnormal weather conditions	• Weakening demand-side inflationary pressure • Government's price stability measures

Distribution of Growth Projections by Market Participants

3.2. Growth projections by major forecasting institutions for 2025 have been significantly revised downward compared to the February forecast, while the inflation forecasts remain unchanged. Among market participants such as investment banks, the median and lower quartile of domestic GDP growth for 2025 are 0.9% and 0.7%, respectively, revised down by 0.7%p and 0.8%p from the February forecasts of 1.6% and 1.5%. The median forecast for CPI inflation remains unchanged from the February forecasts at 2.0%.

GDP growth forecasts have been sharply lowered to the 0.9% (median), while inflation projections remain unchanged

Figure 3.1. Distribution of GDP growth[1)] and CPI inflation[2)] forecasts for 2025



Note: 1) Based on 36~42 institutions.
2) Based on 30~36 institutions.
Source: Bloomberg (Data retrieved on May 26)

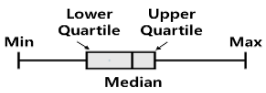
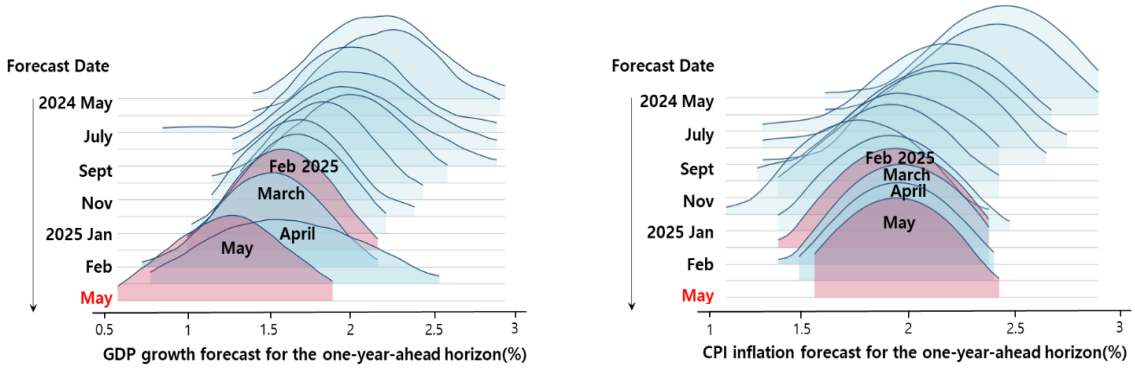


Figure 3.2. Distribution of GDP growth[1] and CPI inflation[2] forecasts for the one-year-ahead Horizon[3]



Note: 1) Based on 18~23 institutions.
2) Based on 16~20 institutions.
3) The average year-over-year growth rate forecasts over the current and subsequent three quarters.
Source: Bloomberg (Data retrieved on May 26)

Scenario Analysis

3.3. Although global trade tensions have eased to some extent due to recent U.S.-China trade negotiations, future developments in U.S. tariff policies and uncertainties surrounding the negotiation remain the most significant risk factors for the growth path, and so we have analyzed two alternative scenarios.

The baseline scenario assumes that baseline and item-specific tariffs are maintained at the current level, while a certain level of item-specific tariffs would be imposed on products such as semiconductors and pharmaceuticals in the second half of the year.

- **The optimistic scenario (smooth tariff negotiations)** assumes that the trade negotiations with all countries, including China, proceed smoothly during the tariff suspension period until July 9(August 12 for China), leading to a significant reduction in the U.S. average tariff rates by the end of this year. Moreover, thanks to progress in negotiations, we assume that the fentanyl-related tariffs on China are withdrawn and item-specific tariffs on products such as automobiles and semiconductors are imposed at the baseline tariff level. In this case, **GDP growth*** is expected to be **0.1%p higher this year** and **0.2%p higher next year** compared to the baseline projection. **CPI inflation** is projected to receive a **limited** impact **this year**, but is estimated to be **0.1%p higher** than the **baseline** projection **next year**.

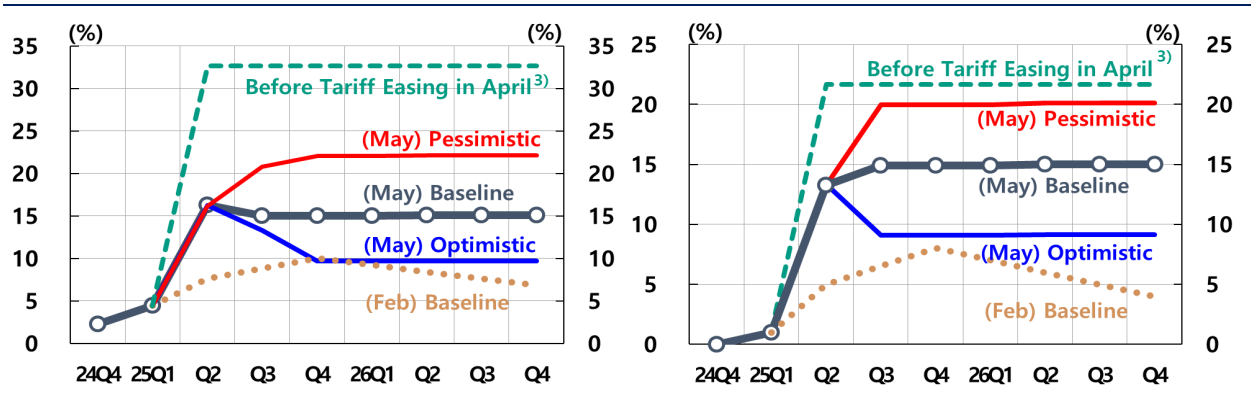
  * As tariff paths under optimistic and pessimistic scenarios are projected to diverge from the baseline scenario starting in the third quarter, their impact is expected to be more pronounced next year compared to this year.

- **The pessimistic scenario (intensifying trade conflicts)** assumes that U.S.-China tensions reignite and negotiations with other countries break down, leading to the reinstatement of a substantial portion (about half) of the currently suspended reciprocal tariffs. Moreover, we assume that the U.S. average tariff rates rise further until the end of year and remain elevated, and item-specific tariffs on products such as semiconductors are imposed at the previously-announced levels. In this case, **GDP growth** is expected to be **0.1%p lower this year** and **0.4%p lower next year** compared to the baseline projection. **CPI inflation** is projected to receive **limited** impact **this year** but is estimated to be **0.2%p lower** than the baseline projection **next year**.

U.S. Tariff Policy Scenarios

	Main Points
Baseline Scenario	‣ Current tariff structure, comprising baseline 10% tariffs and 25% item-specific tariffs, remains in place, while additional 10% tariffs are imposed in the second half of the year on certain items such as semiconductors and pharmaceuticals. ‣ Tariff rate on **Korea** reaches to around 15%.
Optimistic Scenario	‣ With steady progress on negotiations, U.S. tariff rates decline significantly compared to the baseline scenario by the end of the year. Item-specific tariffs already in place drop to 10%, and additional item tariffs are likewise set at 10%. ‣ Tariff rate on **Korea** declines to around 10% in the third quarter and remains at that level thereafter.
Pessimistic Scenario	‣ After the tariff suspension period ends (from July onward), about half of the paused reciprocal tariffs are reinstated, leading to a further increase in U.S. tariff rates in the second half of the year. Other countries also impose high-intensity retaliatory tariffs. Item-specific tariffs already in place remain at 25%, and additional item tariffs are likewise set at 25%. ‣ Tariff rate on **Korea** rises to around 20% in the third quarter and remain at that level thereafter.

Average Tariff Rate[1)2)] Paths by Scenario



Note: 1) Incorporated tariff-exempt items such as energy and rare minerals.
2) Estimated based on the scale of U.S. imports in 2024.
3) Tariff rates assuming a continuation of reciprocal tariffs and the U.S.-China retaliatory tariffs announced in early April.

Table 3.2. Assumptions on global economic growth by scenario

(%, %p)	2024	2025[e)]	2026[e)]
Baseline Projection	3.3	2.7	2.7
Optimistic scenario		+0.1	+0.2
Pessimistic scenario		-0.2	-0.3

Table 3.3. Growth and inflation outlook by scenario

GDP growth

(%, %p)	2024	2025[e)]	2026[e)]
Baseline Projection	2.0	0.8	1.6
Optimistic scenario		+0.1	+0.2
Pessimistic scenario		-0.1	-0.4

CPI Inflation

(%, %p)	2024	2025[e)]	2026[e)]
Baseline Projection	2.3	1.9	1.8
Optimistic scenario		-	+0.1
Pessimistic scenario		-	-0.2

Source: Research Department.

<Appendix> Key Economic Indicators

[World economy]

(QoQ, MoM, %)		2023	2024					2025				
			Year	Q1	Q2	Q3	Q4	Q1	Jan	Feb	Mar	Apr
United States	GDP growth[1)]	2.9	2.8	1.6	3.0	3.1	2.4	-0.3	-	-	-	-
	Industrial production[2)]	0.2	-0.3	-0.4	0.6	-0.1	-0.3	1.3	0.1	0.9	-0.3	0.0
	Retail sales	3.4	3.0	-0.2	0.8	1.4	1.8	0.4	-0.9	0.0	1.7	0.1
	Consumer prices [3)]	4.1	2.9	3.2	3.2	2.6	2.7	2.7	3.0	2.8	2.4	2.3
	Change in non-farm payroll (1,000s)	3,348	2,091	575	514	338	509	543	111	102	185	177
Euro area	GDP growth rate	0.4	0.9	0.3	0.2	0.4	0.2	0.3	-	-	-	-
	Industrial production[2)]	-1.7	-3.0	-1.1	0.0	-0.5	-0.1	2.2	0.8	1.1	2.6	..
	Retail sales	-1.9	1.2	0.3	0.2	1.1	0.4	0.1	0.0	0.2	-0.1	..
	Exports on a customs clearance basis[4)]	-0.8	0.5	0.1	0.6	-0.7	0.8	7.6	1.9	5.1	2.9	..
	Consumer prices[3)]	5.4	2.4	2.6	2.5	2.2	2.2	2.3	2.5	2.3	2.2	2.2
China	GDP growth[3)]	5.4	5.0	5.3	4.7	4.6	5.4	5.4	-	-	-	-
	Industrial production[2)3)5)]	4.6	5.8	6.1	5.9	5.0	5.6	6.5	-	5.9	7.7	6.1
	Retail sales[3)5)]	7.2	3.5	4.7	2.6	2.7	3.8	4.6	-	4.0	5.9	5.1
	Fixed investment[3)5)6)]	3.0	3.2	4.5	3.9	3.4	3.2	4.2	-	4.1	4.2	4.0
	Exports on a customs clearance basis[3)]	-4.7	5.8	1.5	5.7	5.9	9.9	5.7	6.0	-3.0	12.3	8.1
	Consumer prices [3)]	0.2	0.2	0.0	0.3	0.5	0.2	-0.1	0.5	-0.7	-0.1	-0.1

Notes: 1) Annualized QoQ rate. 2) Mining and manufacturing. 3) Year-on-year.
4) Excluding trade within the EU. 5) February 2025 data are based on cumulative figures for January and February.
6) Cumulative.
Sources: U.S. Federal Reserve, BEA, BLS, Eurostat, National Bureau of Statistics of China, General Administration of Customs of the People's Republic of China, etc.

[Global energy prices]

(Average during the period)	2023	2024					2025					
		Year	Q1	Q2	Q3	Q4	Q1	Jan	Feb	Mar	Apr	May[3)]
Dubai oil[1)]	82	80	81	85	79	74	76	80	75	72	67	63
Brent oil[1)]	82	80	82	85	79	74	75	78	75	71	66	64
European natural gas[2)]	41	35	28	32	36	43	47	48	50	42	35	35

Notes: 1) USD/barrel. 2) EUR/MWh.
3) Average from May 1 to 27, 2025.
Source: Bloomberg.

[Domestic economy]

(QoQ, MoM, %)		2023	2024					2025				
			Year	Q1	Q2	Q3	Q4	Q1	Jan	Feb	Mar	Apr
Growth	GDP growth	1.4	2.0	1.3	-0.2	0.1	0.1	-0.2	-	-	-	-
	Retail sales	-1.3	-2.1	-2.2	-0.3	0.7	-0.4	0.7	-0.6	1.9	-0.3	..
	(YoY)			(-1.6)	(-3.1)	(-1.5)	(-2.0)	(0.0)	(0.2)	(-1.8)	(1.5)	..
	Facility investment index	-4.8	2.9	-1.5	-1.4	10.2	-1.8	-1.9	-17.2	21.3	-0.9	..
	(YoY)			(-1.4)	(-3.3)	(11.5)	(5.3)	(5.5)	(-6.7)	(8.0)	(14.1)	..
	Construction completed	7.8	-4.7	7.7	-8.2	-3.8	-5.1	-6.1	-4.5	2.4	-2.7	..
	(YoY)			(4.0)	(-3.1)	(-9.1)	(-9.7)	(-20.7)	(-27.4)	(-20.2)	(-14.7)	..
	Exports on a customs clearance basis (USD 100 million)	6,322	6,836	1,633	1,715	1,736	1,751	1,597	492	524	581	582
	(YoY)	(-7.5)	(8.1)	(8.0)	(10.1)	(10.5)	(4.2)	(-2.2)	(-10.1)	(0.7)	(2.8)	(3.7)
	Imports on a customs clearance basis (USD 100 million)	6,426	6,318	1,548	1,570	1,600	1,599	1,526	510	483	533	533
	(YoY)	(-12.1)	(-1.7)	(-11.1)	(-1.4)	(6.2)	(0.9)	(-1.4)	(-6.4)	(0.1)	(2.2)	(-2.7)

Sources: Bank of Korea, Statistics Korea, Korea Customs Service.

(YoY, %)		2023	2024					2025				
			Year	Q1	Q2	Q3	Q4	Q1	Jan	Feb	Mar	Apr
Prices	Headline inflation	3.6	2.3	3.0	2.7	2.1	1.6	2.1	2.2	2.0	2.1	2.1
	Core inflation[1)]	3.4	2.2	2.5	2.2	2.1	1.8	1.9	1.9	1.8	1.9	2.1
Current account balance	Current account (USD 100 million)	328	990	165	237	271	318	193	29	72	91	..
	Goods	377	1,001	197	262	259	284	192	25	82	85	..
	Services	-268	-237	-75	-46	-56	-60	-75	-21	-32	-22	..
	Primary and secondary income	220	226	43	21	68	94	76	25	22	29	..
Employment	Changes in number of employed persons (10,000 persons)	32.7	15.9	29.4	14.6	14.6	5.2	15.5	13.5	13.6	19.3	19.4
	Unemployment rate (S.A., %)	2.7	2.8	2.8	2.8	2.5	3.0	2.8	2.9	2.7	2.9	2.7

Note: 1) Excluding energy and food.
Sources: Bank of Korea, Statistics Korea.

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